ASIAN DEVELOPMENT OUTLOOK

JULY 2026

A FRAGILE OUTLOOK AS ENERGY MARKET DISRUPTIONS PERSIST

HIGHLIGHTS

- The growth forecast for developing Asia and the Pacific (DAP) is lowered to 4.9% in 2026—down from the 5.1% projected in April, and 0.6 percentage points below the 5.5% growth recorded in 2025. The Middle East conflict has led to prolonged disruption to energy and supply chains, raising production costs and dampening economic activity. The growth projection is maintained at 5.1% in 2027, reflecting recovering activity as these pressures ease.
- In developing East Asia, the outlook is maintained at 4.6% in 2026 and 4.5% in 2027 on the strength of resilient exports and continued infrastructure investment in the People's Republic of China (PRC), despite weak private consumption and rising geopolitical risks.
- South Asia's growth forecasts are reduced to 6.0% in 2026 and 6.7% in 2027, weighed down by higher oil prices, rising freight costs, and uncertainty over remittances stemming from the conflict.
- Developing Southeast Asia's growth forecast is downgraded slightly to 4.6% in 2026, reflecting heightened uncertainty, weaker external demand, and rising commodity costs linked to the conflict. The 2027 projection is maintained at 4.8%.
- Growth forecasts for the Caucasus and Central and West Asia are lowered to 3.8% in 2026 and 4.2% in 2027 in response to trade disruption, rising trade costs, and prolonged geopolitical tensions.
- The Pacific's growth outlook is lowered to 3.3% in 2026 as higher fuel, food, and input costs stemming from the conflict dampen economic activity despite government mitigation measures. The 2027 projection is unchanged.
- Inflation in DAP is projected to rise to 4.3% in 2026, from 3.0% in 2025, driven by elevated oil and gas prices and spillover to other commodities that broadens price pressures across the region. It will ease to 3.4% in 2027.
- Downside risks to the outlook are significant: renewed escalation of the Middle East conflict, prolonged energy market uncertainty, tighter global financial conditions, a sharp correction in global equity markets and re-pricing of AI-related stocks, rising trade policy uncertainty, food price pressures, and a deeper property downturn in the PRC.

The recent developments and outlook section was written by Shiela Camingue-Romance, Suzette Dagli, Roshen Fernando, Jaqueson Galimberti, Henry Ma, Tolga Ozden, Melanie Quintos, Pilipinas Quising, Ed Kieran Reyes, Patrick Jaime Simba, Shu Tian, Michael Timbang, Priscille Villanueva, and Mai Lin Villaruel under the guidance of Matteo Lanzafame, John Beirne, and Madhavi Pundit of the Economic Research and Development Impact Department (ERDI). The Asian Development Bank Regional Economic Outlook Task Force led the preparation of the revised subregional outlook. The task force is chaired by ERDI and includes representatives of the Central and West Asia Department, East Asia Department, Pacific Department, South Asia Department, and Southeast Asia Department. ADB placed its regular assistance to Afghanistan on hold effective 15 August 2021. Effective 1 February 2021, ADB placed a temporary hold on sovereign project disbursements and new contracts in Myanmar.

ADB

Recent Developments and Outlook

The Middle East conflict evolved into a major energy shock, leaving global oil markets highly exposed to supply disruptions. At its peak in March, the crisis removed more than 10 million barrels per day of oil supply from global markets, making it one of the largest supply shocks in modern history (Box 1). Brent crude oil prices surged from about $71/barrel before the conflict escalated on 28 February to a peak of about $144/barrel in early April. Prices moderated to $98/barrel in early June, reflecting alternative crude sourcing, weaker demand, and the expectation that energy flows and shipping conditions would gradually normalize. Prices eased further following the announcement of a framework agreement on 14 June, hovering below $80/barrel, as previously trapped vessels exited the Strait of Hormuz, easing concerns about near-term supply disruptions.

The conflict could leave persistent scars on energy markets as energy disruptions unwind only gradually. Geopolitical risk premia could narrow relatively rapidly if a durable and credible ceasefire materializes. Physical disruption, however, will be stickier. Reopening the Strait of Hormuz requires mine-clearing and the full return of war-risk insurance rates. Even as the conflict winds down, transit through the Strait of Hormuz may remain below pre-conflict levels. Tankers that diverted during the closure must reposition back to Gulf routes, adding further delay before flows normalize. Production that halted across the Gulf could restart relatively quickly, but reservoir damage from wells left shut for a long time could slow supply recovery. The time required to repair damaged export and refining infrastructure could be months or several quarters. Gas supply may recover even more slowly than oil, as liquefied natural gas is harder to reroute and lacks comparable alternative supply. More broadly, global gas inventories have been drawn down sharply to compensate for lost supply, reducing buffers and leaving energy markets more exposed to further shocks.

Inflationary pressure may persist because impacts have extended beyond energy markets, and some effects of the shock will materialize only after a lag. Higher fuel costs and transport bottlenecks have raised freight and air transport rates and disrupted global supply chains (Box 2). These pressures have spilled into fertilizer and other commodity markets, raising concerns about broader inflationary effects and food security. Several of these effects feed through slowly. Higher energy and fertilizer costs take time to move through food supply chains to consumers, while pass-through from fuel prices typically unfolds over several months. Similarly, higher natural gas prices take time to reach household gas and electricity bills, depending on tariff structures, fuel contracts, and market regulation.

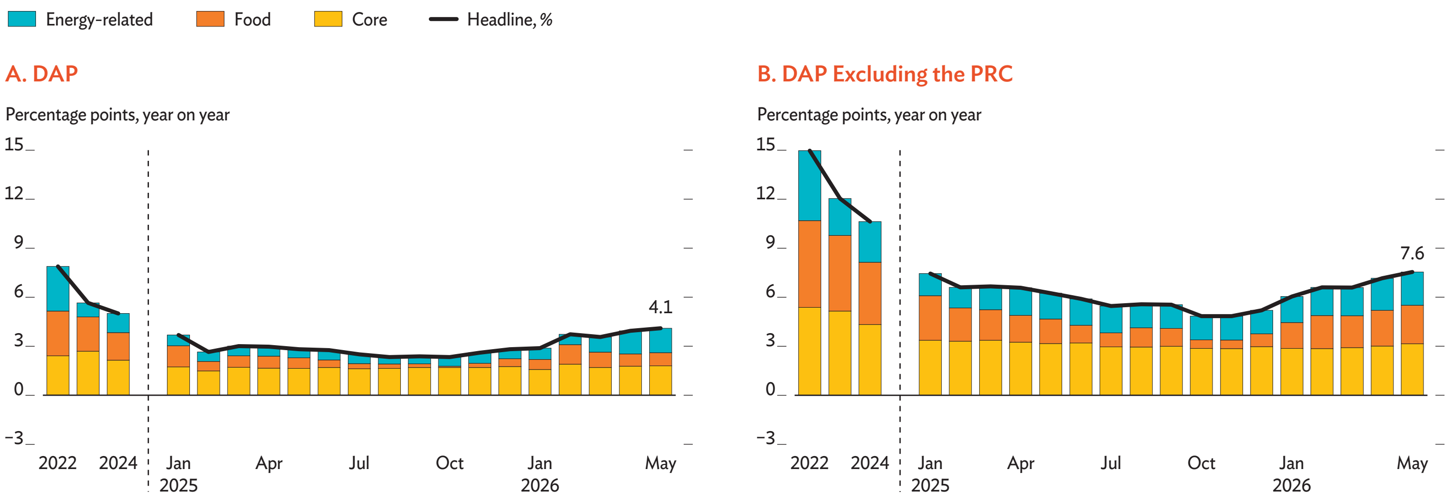
As the crisis evolved, the most direct impacts from rising global commodity prices were to drive up inflation across developing Asia and the Pacific (DAP). Headline inflation in the region rose from 2.9% in January to 4.1% in May 2026, driven by higher global energy prices and second-round effects on input and transport costs from supply chain disruption (Figure 1). Excluding the People's Republic of China (PRC), regional inflation was much higher at 7.6% during the same month, reflecting persistently elevated price pressures in Türkiye and broad-based increases in more than half of the region's economies.

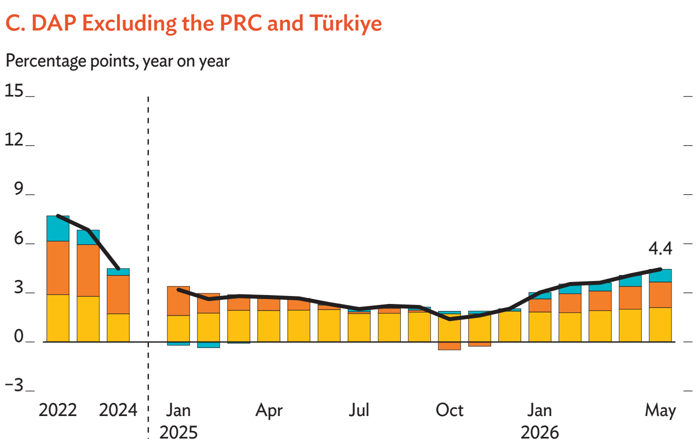
The shock was transmitted through producer prices and, increasingly, food and core inflation. Energy inflation surged in April and May, raising costs across energy-intensive sectors and pushing up producer prices across major economies. In the PRC, higher energy costs lifted producer price inflation to a 46-month high of 3.8% in May, while wholesale price inflation in India recorded an even steeper increase to 9.7% in May, a 43-month peak. Since March, governments across the region have introduced measures to limit pass-through to consumer prices, including fuel subsidies, tax cuts, price controls, releases from strategic petroleum reserves, and energy conservation policies. Inflationary pressures have nonetheless broadened beyond energy. Higher input and logistics costs are feeding through to food and core inflation, while higher fertilizer prices are adding to food price pressures. Food inflation rose in 15 of 19 regional economies with data from March to April 2026. Since January, food inflation has increased markedly in South Asia and developing Southeast Asia, while remaining high in the Caucasus and Central and West Asia. Core inflation has risen most in developing Southeast Asia and remains elevated in South Asia.

Growth dynamics varied substantially across the region's largest economies in the first quarter (Q1) of 2026. Growth remained resilient in Q1, buoyed by solid pre-conflict activity and strong domestic demand, even as momentum varied across economies. In the PRC, growth accelerated to 5.0% in Q1, supported by robust exports and industrial production—particularly in high-tech manufacturing—alongside a strong pickup in investment. By contrast, India experienced mild deceleration to 7.8% in Q1 (Q4 of fiscal year 2025) from 8.1% in the second half of 2025, as higher global fuel prices squeezed real incomes. Growth in the rest of the region also slowed, notably in the Philippines and Türkiye. At the regional level, domestic demand was the main driver of growth. Consumption held up despite headwinds in major economies, as lower consumption growth in the PRC and India was partly offset by higher government spending in Indonesia, Thailand, and Türkiye. Investment strengthened across much of the region, underpinned by capital spending related to artificial intelligence (AI), but weakened in the Philippines due to low public infrastructure spending and in Türkiye due to tight credit conditions and

Figure 1 Contributions to Inflation, Developing Asia and the Pacific

Global commodity price increases are lifting inflation across developing Asia and the Pacific, as energy costs gradually spill over into food and core inflation.





DAP = developing Asia and the Pacific, PRC = People's Republic of China.

Notes: Component contributions are calculated based on available data. Core inflation excludes food and energy. For some economies, core inflation is estimated as the residual between headline inflation and the contributions of food and nonalcoholic beverages and energy-related items. Energy-related consumer prices include housing, water, and nonfuel transport in most economies. For the PRC, energy-related inflation is calculated using revised weight estimates from Oxford Economics and includes energy use and maintenance items. Regional averages are weighted using shares of gross domestic product at purchasing power parity for 19 economies.

Sources: Asian Development Bank estimates using data from Oxford Economics, Haver Analytics, and official sources.

elevated borrowing costs. Net exports contributed less than in previous quarters as rising imports of capital goods and components weighed on external balances, as did conflict-related increases in energy, shipping, aviation, and other production costs. Services edged up slightly, supported by sustained strength in wholesale and retail trade, hotel accommodation, and other services, particularly in India, Indonesia, and Thailand. Financial intermediation, real estate, and professional services also expanded, reflecting generally improving financial conditions in the PRC. Meanwhile, expansion in industry steadied as a surge in manufacturing in the PRC was offset by more subdued gains in the rest of the region. In addition, construction remained a drag on growth in the PRC and contracted in the Philippines for a third consecutive quarter (Figure 2, Panel B).

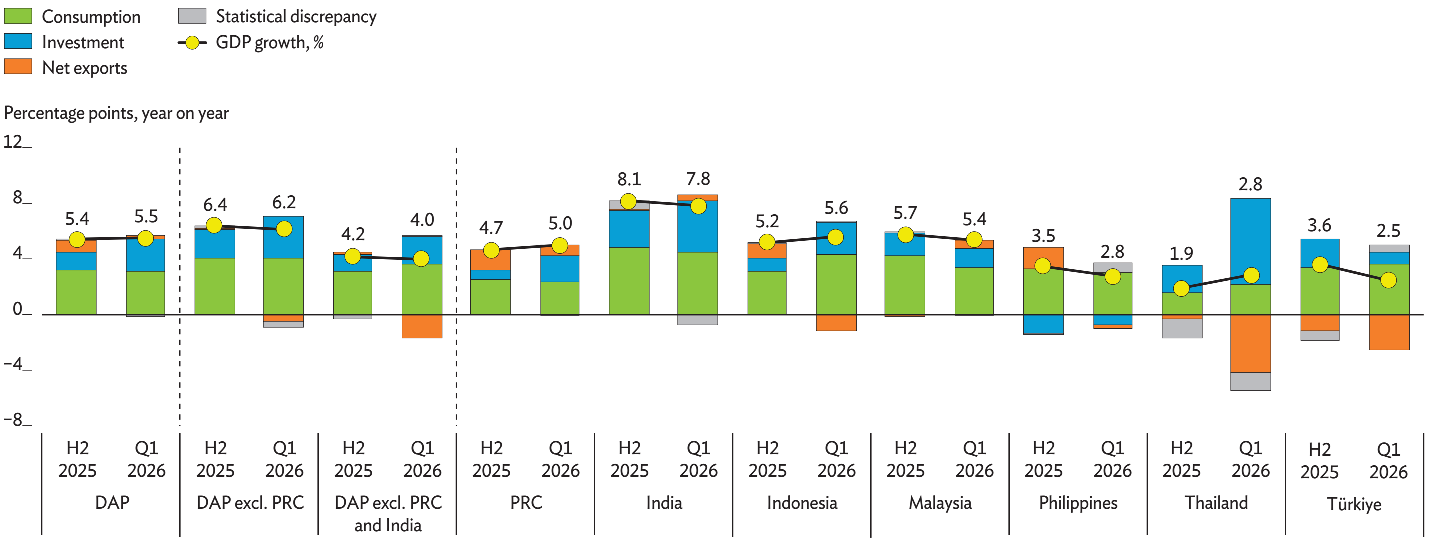
Goods exports expanded in Q1 2026, driven mainly by electronics and machinery. Across Asia and the Pacific, most economies with data through March recorded positive export growth year on year, which strengthened over the quarter. This largely reflected strong external demand for electronics and machinery, underpinned by the AI investment boom, particularly in economies closely integrated into global technology supply chains: Hong Kong, China; the Republic of Korea; Singapore; and Taipei,China in advanced Asia and the Pacific (AAP); and Malaysia and Thailand in DAP (Figure 3). In contrast, all other sectors' exports (excluding fuel) continued to lag overall, though recovery has gathered pace since 2025 in AAP and Malaysia. Recent tariff developments in the United States (US) could weigh on export performance in the near term, as the transition from Section 122 to Section 301 tariffs has heightened uncertainty around external demand (Box 3).

Leading indicators point to manufacturing activity improvement across most DAP economies in May, albeit uneven. Manufacturing conditions weakened in several economies in March and April, at the peak of the energy shock. Activity recovered in May, with purchasing managers' indexes (PMIs) above the 50-threshold in five of eight economies,

Figure 2 Contributions to GDP Growth

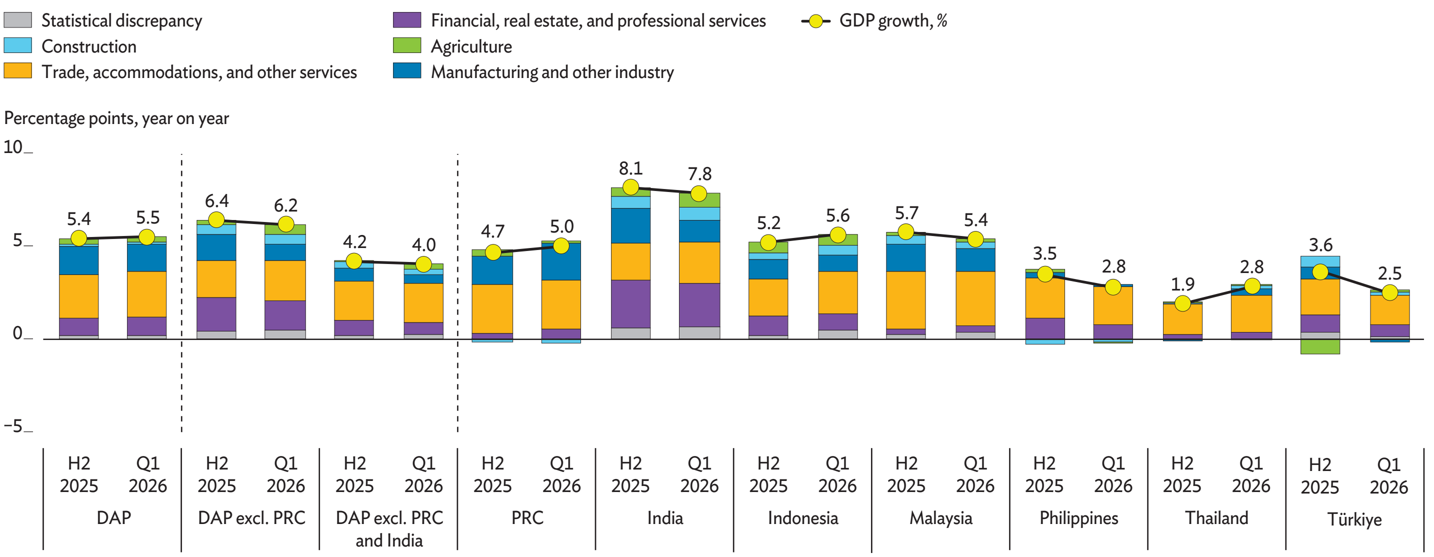
A. Demand-Side

Growth momentum remained firm in Q1 2026, largely reflecting solid pre-conflict activity and robust domestic demand.



B. Supply-Side

Industry and services improved modestly, as steady services growth and stable industrial expansion led by the PRC, Indonesia, and Thailand offset weaker growth in the rest of the region.



DAP = developing Asia and the Pacific, GDP = gross domestic product, H = half, PRC = People's Republic of China, Q = quarter.

Notes: Economies included are the PRC, India, Indonesia, Malaysia, the Philippines, Thailand, and Türkiye, which report quarterly GDP with supply- and demand-side breakdowns. They account for 89% of DAP GDP, weighted by purchasing power parity. Totals may not sum precisely because of statistical discrepancy and chain-linking in Panel A, and product taxes less subsidies in Panel B. Data are calendar year and not seasonally adjusted. For the PRC, supply-side contributions are estimated using sector shares from the 2023 Asian Development Bank Multiregional Input–Output Table.

Sources: Asian Development Bank estimates using data from Haver Analytics, CEIC Data Company, and official sources.

Figure 3 Contributions to Nominal Export Growth, Electronics and Machinery versus All Other Sectors (excluding fuel)

Growth momentum remained firm in Q1 2026, largely reflecting solid pre-conflict activity and robust domestic demand.

PRC = People's Republic of China, Q = quarter, ROK = Republic of Korea.

Notes: Electronics and machinery are goods under Harmonized System (HS) codes 84 (machinery and mechanical appliances) and 85 (electrical machinery and equipment); other sectors exclude HS 27 (mineral fuels). Economies are sorted according to contributions of electronics and machinery to exports growth in Q1 2026.

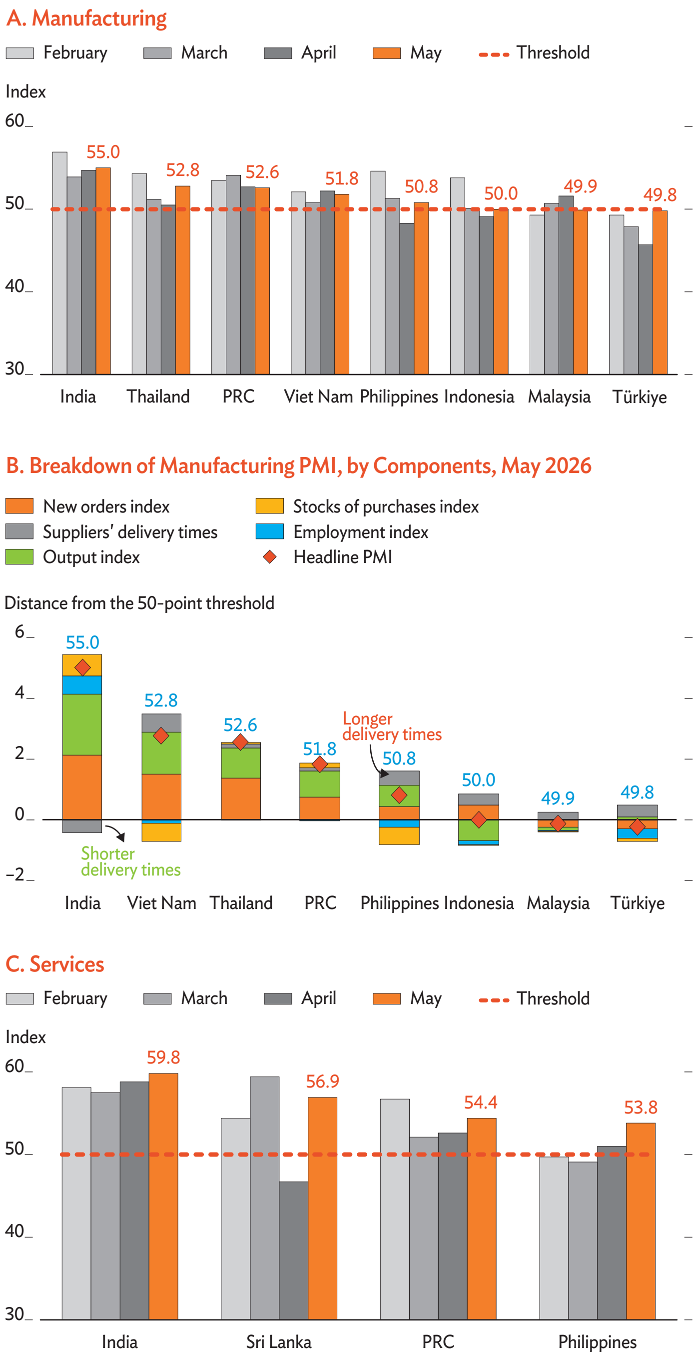
Source: Asian Development Bank calculations using data from International Trade Centre Trade Map.

signaling improvement (Figure 4, Panel A). PMIs in India, Thailand, and Viet Nam remained comfortably above 50, reflecting sustained expansion in output and demand. Activity continued to improve in the PRC, though it eased from the previous month. Indonesia and the Philippines recovered from contraction in April as new orders picked up, while manufacturing conditions in Malaysia and Türkiye broadly worsened. The component breakdown for May shows what drove the uneven recovery (Figure 4, Panel B). New orders and output supported expansion in most economies, with gains ranging from robust in India and Viet Nam to moderate in the Philippines. In contrast, supply chain friction weighed on manufacturing performance across the region, albeit to varying degrees. Delivery times lengthened in all economies apart from India, where precautionary stockpiling also increased. In services, PMIs point to strengthening activity, supported by AI-driven demand in the PRC, new business expansion in India, and rising tourism in the Philippines (Figure 4, Panel C).

Navigating an increasingly challenging growth–inflation trade-off, regional central banks have adopted more guarded monetary policies. With price pressures intensifying in recent months, headline inflation ran above target in 10 of 17 inflation-targeting economies in March–May. Inflation breached

Figure 4 Purchasing Managers' Index, Selected DAP Economies

PMI readings in May signal firmer manufacturing activity, though conditions remain uneven across economies.



DAP = developing Asia and the Pacific, PMI = purchasing managers' index, PRC = People's Republic of China.

Notes: The manufacturing PMI is a weighted composite index of five subindexes: new orders (30%), output (25%), employment (20%), suppliers' delivery times (15%), and inventories (10%). A reading above 50 indicates expansion, while a reading below 50 indicates contraction, but with readings reversed for suppliers' delivery times. The contribution of each component to the headline PMI is calculated as the deviation from the 50-threshold multiplied by its weight. Positive (+) values indicate improvement, and negative (–) values deterioration. For suppliers' delivery times, negative (–) values indicate faster delivery, and positive (+) values slower delivery.

Source: Haver Analytics.

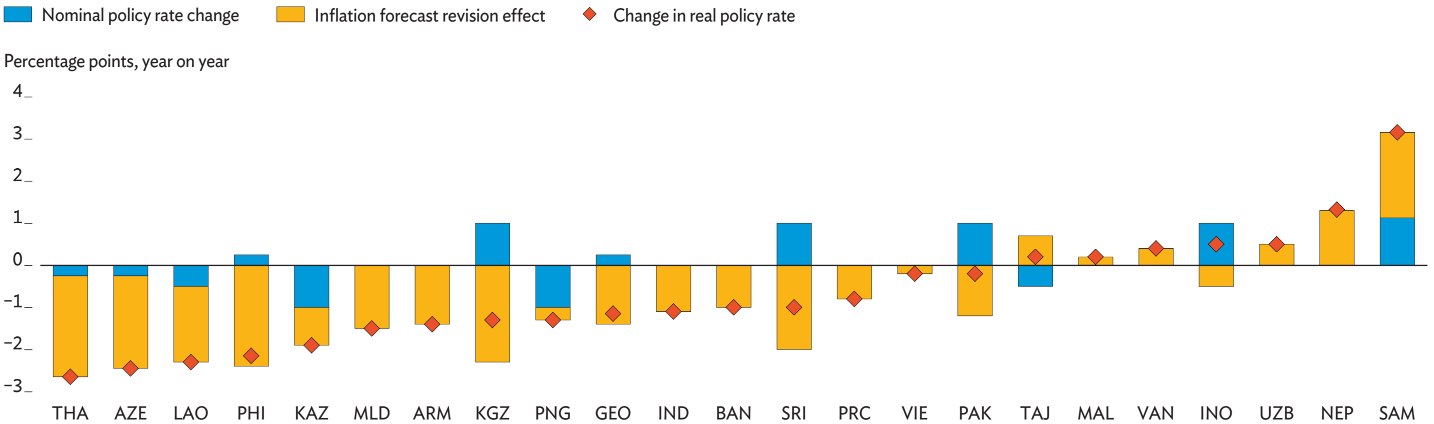
target ranges in early 2026 in Armenia, Georgia, Mongolia, Nepal, Pakistan, the Philippines, and Viet Nam, and remained above target. In response, monetary policy decisions have shifted toward rate holds and selective rate hikes, with central banks calibrating the pace of tightening to contain inflation while limiting drag on growth. In April–June, policy rates were raised in Indonesia, Pakistan, and Sri Lanka by 100 basis points; the Philippines by 50 points; and Georgia by 25 points. Some central banks used foreign exchange intervention or regulatory measures to stabilize currencies. Bucking the trend, the central bank in Kazakhstan cut rates by 100 basis points in June as annual and monthly inflation eased with lower price increases for food and services.

Despite a more cautious policy stance, real monetary conditions have loosened across many economies this year, while policy-rate expectations have moved higher. In most regional economies, upward revisions to 2026 inflation expectations have more than offset modest nominal policy rate actions since the end of 2025, lowering ex-ante real policy rates. Indonesia stands out as the clearest case of real policy tightening, as nominal rate increases exceeded the rise in inflation expectations (Figure 5). Looking ahead, year-end policy rate expectations for 2026 and 2027 have adjusted upward in most regional economies, reflecting broadening inflationary pressures, risks of persistently higher energy prices, currency pressures, and a more hawkish monetary policy stance in advanced economies (Figure 6).

Regional financial market conditions became tighter but remained broadly stable, shaped by shifts in geopolitical risk and the AI investment cycle. Expectations of persistent inflation and a more hawkish monetary policy stance by major central banks contributed to tighter global financial conditions. Sovereign bond yields in advanced economies and DAP continued to rise, extending increases that began in late February and were higher in economies facing stronger price pressures, such as the Philippines and Türkiye (Figure 7). Despite tighter financial conditions, market sentiment was supported by some easing of geopolitical risk and a continued upswing in AI investment in April and May. Against this backdrop, sovereign risk premia—as measured by credit default swap spreads—narrowed, equity indexes rallied in most regional markets, and net capital inflow totaled $22.2 billion. Regional currencies steadied against the US dollar, appreciating marginally by 0.3% on GDP-weighted average, though exchange rate movements varied widely across economies. Some of the gains accumulated in preceding months partly reversed in the first half of June amid a sell-off in AI-related equities, renewed geopolitical tensions, and the growing expectation that US interest rates would remain higher for longer. Market conditions subsequently improved following the announcement of a framework agreement on 14 June.

Figure 5 Decomposition of Real Policy Rate Changes in DAP, December 2025–June 2026

Rising inflation expectations led to falling real policy rates in 2026 in many economies.

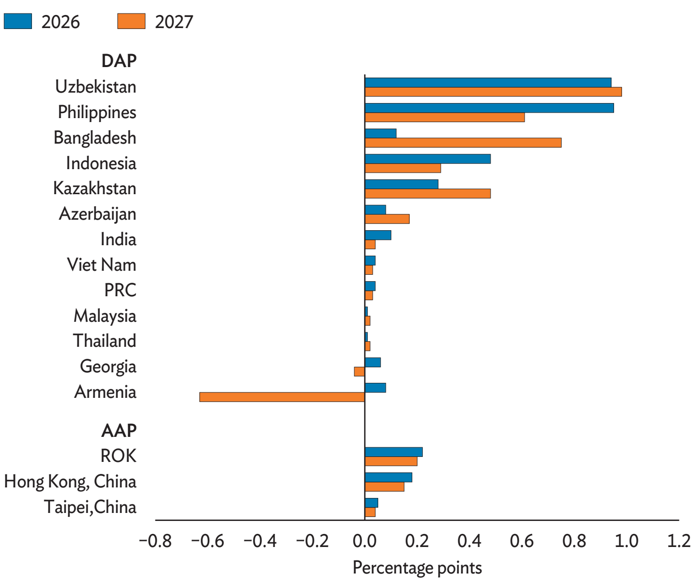


ADO = Asian Development Outlook, ARM = Armenia, AZE = Azerbaijan, BAN = Bangladesh, DAP = developing Asia and the Pacific, GEO = Georgia, IND = India, INO = Indonesia, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, LAO = Lao People's Democratic Republic, MAL = Malaysia, MLD = Maldives, NEP = Nepal, PAK = Pakistan, PHI = Philippines, PNG = Papua New Guinea, PRC = People's Republic of China, SAM = Samoa, SRI = Sri Lanka, TAJ = Tajikistan, THA = Thailand, UZB = Uzbekistan, VAN = Vanuatu, VIE = Viet Nam.

Notes: Change in real policy rate is the nominal policy-rate change (difference between latest policy rates in June 2026 and historic policy rates in December 2025) minus the change in expected 2026 inflation (difference between annual average inflation forecasts for 2026 in *ADO July 2026* and *ADO December 2025*).

Figure 6 Policy Rate Forecast Revisions in AAP and DAP, April–May 2026

Monetary policy is anticipated to tighten going forward.



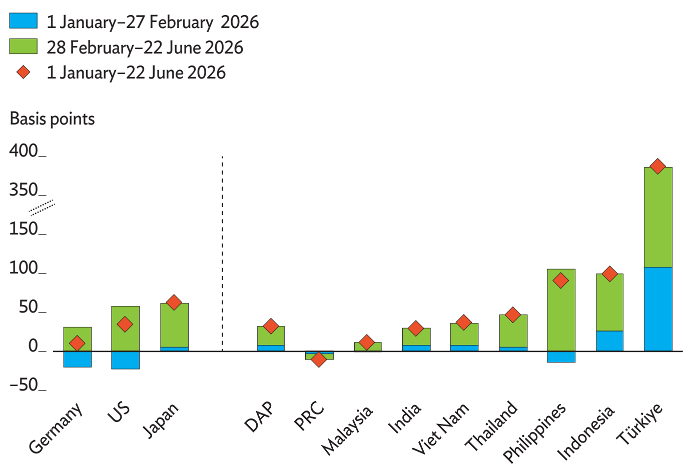
AAP = advanced Asia and the Pacific, DAP = developing Asia and the Pacific, PRC = People's Republic of China, ROK = Republic of Korea.

Notes: Revisions are changes in consensus forecasts for policy rates from April to May 2026. Positive values indicate upward revisions.

Source: Focus Economics.

Figure 7 10-Year Government Bond Yields

Regional bond yields have risen since late February, tracking higher yields in advanced economies, with the largest increases in economies with higher inflation.



DAP = developing Asia and the Pacific, PRC = People's Republic of China, US = United States.

Notes: Latest data are as of 22 June 2026. The average change in yield for DAP is weighted by gross domestic product, purchasing power parity. DAP includes the economies shown: India, Indonesia, Malaysia, the Philippines, the PRC, Thailand, Türkiye, and Viet Nam.

Source: Bloomberg.

The Middle East conflict is adding to fiscal pressures, with primary balances projected to worsen across most of the region in 2026. The conflict weighs on fiscal positions through multiple channels: higher energy and fertilizer prices worsen trade balances and raise fiscal spending pressures (Box 4); local currency depreciation increases the burden of debt denominated in foreign currency; and, in some economies, lower remittances and tourism revenue reduce external income. Partly reflecting these effects, primary balances are anticipated to worsen on average this year, with the steepest deterioration concentrated in several small Pacific economies (Figure 8). Of 40 economies in DAP, 24 are projected to record lower revenues in 2026 than in 2025, and 24 to record higher primary expenditure.

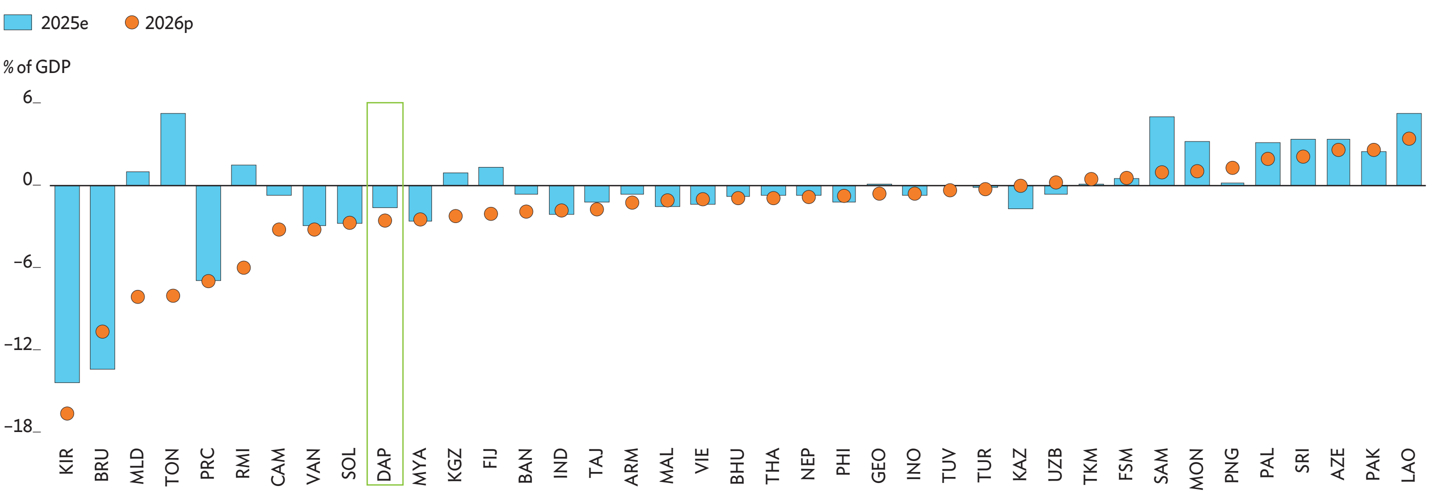
Among the external conditions shaping the regional outlook, forecasts for major advanced economies point to weaker growth and higher inflation relative to *ADO April 2026* (Box 5). The US growth forecast for 2026 is lowered from 2.3% to 2.1%, reflecting the expected drag on consumption from higher inflation and tighter monetary conditions, as well as weaker external demand weighing on exports. Growth is projected to moderate further to 2.0% in 2027, unchanged from April, amid persistently elevated geopolitical and trade uncertainty. US inflation is revised up to 3.4% for 2026 on higher energy prices and broadening price pressures, before easing to 2.4% in 2027. The 2026 growth forecast for the euro area is revised down from 1.1% to 0.8% due to the impact of the Middle East conflict. Growth is projected to recover to 1.2% in 2027 as global conditions gradually improve. As prolonged energy supply disruptions are expected to add to price pressures, the euro area inflation forecast is raised to 2.8% for 2026, before easing to 2.3% for 2027.

By contrast, the 2026 growth forecast for AAP is raised by 0.4 percentage points (pps) to 2.6%, on stronger-than-expected AI-driven demand for semiconductors. The upgrade reflects higher growth projections for Hong Kong, China by 0.4 pps; the Republic of Korea by 0.7 pps; Singapore by 0.2 pps; and Taipei,China by 1.9 pps (Box 5). Japan's 2026 growth forecast is unchanged, but its 2027 projection is revised upward on expected improvement in the terms of trade as energy prices normalize and stronger corporate profitability supports business investment. Inflation forecasts for AAP are maintained at 2.6% for 2026 but raised by 0.2 pps to 2.1% for 2027 on elevated global energy prices.

This report revises down the 2026 growth forecast for DAP to 4.9%—a 0.2 pps cut compared to April, and 0.6 pps below the 5.5% growth recorded in 2025 (Table 1)**.** The Middle East conflict has lasted longer than assumed in April, leading to prolonged disruption to energy and supply chains that has raised production costs and will dampen regional activity more than previously anticipated. Growth projections for 2026 are lowered for all subregions except developing East Asia, where

Figure 8 Primary Balance, 2025 and 2026

Primary balances are projected to worsen in most economies, with the regional average deteriorating in 2026.



ARM = Armenia, AZE = Azerbaijan, BAN = Bangladesh, BHU = Bhutan, BRU = Brunei Darussalam, CAM = Cambodia, DAP = developing Asia and the Pacific, e = estimate, FIJ = Fiji, FSM = Federated States of Micronesia, GDP = gross domestic product, GEO = Georgia, IND = India, INO = Indonesia, KAZ = Kazakhstan, KGZ= Kyrgyz Republic, KIR = Kiribati, LAO = Lao People's Democratic Republic, MAL = Malaysia, MLD = Maldives, MON = Mongolia, MYA = Myanmar, NEP = Nepal, p = projection, PAK = Pakistan, PAL = Palau, PHI = Philippines, PNG = Papua New Guinea, PRC = People's Republic of China, RMI = Marshall Islands, SAM = Samoa, SOL = Solomon Islands, SRI = Sri Lanka, TAJ = Tajikistan, THA = Thailand, TKM = Turkmenistan, TON = Tonga, TUR = Türkiye, TUV = Tuvalu, UZB = Uzbekistan, VAN = Vanuatu, VIE = Viet Nam.

Notes: The figure for DAP is a simple average. Outlier values for Timor-Leste (–50.3% of GDP in 2026) and Nauru (13.3% of GDP in 2026) are excluded from the figure.

Sources: Asian Development Bank computations using data from Asia Sovereign Debt Monitor, the International Monetary Fund's *World Economic Outlook April 2026* and *October 2025*, and *Asian Development Outlook July 2026*.

Table 1 GDP Growth Rate and Inflation, %

Growth in developing Asia and the Pacific is expected to slow from its 2025 rate across most subregions in both 2026 and 2027, while inflation will continue to pick up.

	GDP Growth					Inflation				
	2025	2026		2027		2025	2026		2027	
Subregion/Economy		April	July	April	July		April	July	April	July
Developing Asia and the Pacific (DAP)	**5.5**	**5.1**	**4.9**	**5.1**	**5.1**	**3.0**	**3.6**	**4.3**	**3.4**	**3.4**
DAP excluding the People's Republic of China	**5.9**	**5.5**	**5.3**	**5.8**	**5.7**	**6.1**	**6.8**	**7.5**	**5.8**	**5.9**
Caucasus and Central and West Asia	**4.6**	**4.2**	**3.8**	**4.4**	**4.2**	**25.6**	**20.6**	**22.0**	**16.3**	**16.3**
Armenia	7.2	5.5	5.0	5.7	5.5	3.3	3.8	4.2	3.2	3.5
Azerbaijan	1.4	2.0	2.0	1.8	1.8	5.6	5.7	5.7	4.9	4.9
Georgia	7.5	5.5	5.5	5.2	5.2	3.9	3.8	4.9	3.3	3.3
Kazakhstan	6.5	4.8	4.8	4.5	4.5	11.4	10.4	10.4	9.5	9.5
Kyrgyz Republic	11.1	8.9	8.9	8.4	8.4	8.2	10.3	11.2	8.5	8.5
Tajikistan	8.4	7.3	7.3	6.8	6.8	3.5	4.0	4.5	4.5	4.7
Türkiye	3.6	3.6	3.1	4.0	3.8	35.2	27.7	29.7	21.5	21.5
Turkmenistan	6.3	6.5	6.3	6.2	6.2	5.5	6.0	6.0	6.0	6.0
Uzbekistan	7.7	6.7	6.7	6.8	6.8	7.3	6.5	6.5	5.0	5.0
Developing East Asia	**5.0**	**4.6**	**4.6**	**4.5**	**4.5**	**0.0**	**0.6**	**1.2**	**1.0**	**0.9**
People's Republic of China	5.0	4.6	4.6	4.5	4.5	0.0	0.6	1.2	1.0	0.9
Mongolia	6.8	5.7	5.7	6.0	6.0	8.6	7.8	7.8	6.8	6.8
South Asia	**6.9**	**6.3**	**6.0**	**6.8**	**6.7**	**2.9**	**5.0**	**5.7**	**4.6**	**4.8**
Afghanistan	1.9	2.3	2.3	2.8	3.0	–4.2	4.6	3.6	3.2	5.5
Bangladesh	3.5	4.0	3.7	4.7	4.5	10.0	9.0	9.0	8.5	8.8
Bhutan	8.5	6.9	6.5	7.2	7.2	3.5	3.9	4.5	3.2	4.0
India	7.7	6.9	6.6	7.3	7.3	2.1	4.5	5.2	4.0	4.0
Maldives	6.3	1.0	1.0	3.0	3.0	4.0	5.0	5.0	4.0	4.0
Nepal	4.4	2.7	3.9	5.0	4.5	4.1	3.7	3.2	4.5	5.0
Pakistan	3.2	3.5	3.7	4.5	3.7	4.5	6.4	7.2	6.5	8.3
Sri Lanka	5.0	4.0	4.0	4.2	4.0	–0.5	5.2	6.0	4.0	5.2
ASEAN	**4.8**	**4.6**	**4.5**	**4.6**	**4.6**	**2.1**	**3.1**	**3.8**	**2.8**	**2.9**
Developing Southeast Asia	**4.8**	**4.7**	**4.6**	**4.8**	**4.8**	**2.2**	**3.2**	**3.9**	**2.8**	**2.9**
Brunei Darussalam	0.7	1.6	1.8	1.9	1.9	–0.3	0.9	1.1	0.4	0.5
Cambodia	5.3	4.5	4.1	5.0	4.7	2.5	2.8	4.5	2.5	2.5
Indonesia	5.1	5.2	5.2	5.2	5.2	1.9	2.5	3.0	2.5	2.5
Lao People's Democratic Republic	4.4	4.0	4.0	4.5	4.5	7.7	9.8	9.8	6.7	6.7
Malaysia	5.2	4.6	4.6	4.5	4.5	1.4	1.8	2.0	1.9	1.9
Myanmar	–2.2	2.4	2.4	2.7	2.7	21.5	24.0	24.0	16.0	16.0
Philippines	4.4	4.4	3.8	5.5	5.3	1.7	4.0	5.9	3.5	3.9
Thailand	2.4	1.8	1.8	2.0	2.0	–0.1	1.3	2.9	1.0	1.3
Timor-Leste	4.5	3.8	3.8	4.1	4.1	0.5	1.7	2.2	2.0	2.0
Viet Nam	8.0	7.2	7.2	7.0	7.0	3.3	4.0	4.0	3.8	3.8
The Pacific	**4.2**	**3.4**	**3.3**	**3.2**	**3.2**	**3.0**	**4.2**	**4.2**	**3.5**	**3.5**
Cook Islands	4.0	2.7	2.7	3.0	3.0	2.0	3.5	3.5	3.3	3.3
Fiji	3.0	2.9	2.6	2.7	2.5	–1.4	3.3	3.6	1.9	1.9
Kiribati	4.3	3.1	3.1	2.6	2.6	6.5	5.3	5.3	4.2	4.2
Marshall Islands	2.5	3.7	3.0	2.8	2.6	6.3	5.7	6.2	4.0	5.3
Federated States of Micronesia	1.1	1.0	0.7	1.0	1.0	2.8	3.5	3.8	3.0	3.5
Nauru	2.6	2.5	2.5	2.5	2.5	6.1	4.5	4.5	4.0	4.0
Niue	2.0	2.5	2.5	2.5	2.5	2.3	3.4	3.4	2.8	2.8
Palau	6.9	6.0	5.8	3.7	3.6	0.2	2.8	2.9	2.4	2.5
Papua New Guinea	4.7	3.6	3.6	3.4	3.4	4.4	4.6	4.6	4.0	4.0
Samoa	4.2	3.2	2.0	3.0	3.0	1.9	1.8	1.2	4.0	4.0
Solomon Islands	3.6	3.0	3.0	3.4	3.4	3.4	4.5	4.5	2.8	2.8
Tonga	2.5	2.3	2.3	2.3	2.3	2.9	3.8	3.8	2.7	2.7
Tuvalu	2.7	2.5	2.5	2.4	2.4	2.8	3.1	3.5	1.0	1.7
Vanuatu	3.8	4.7	4.7	3.9	3.9	0.7	2.0	2.0	2.7	2.7
Advanced Asia and the Pacific	**2.5**	**2.2**	**2.6**	**1.8**	**1.7**	**2.5**	**2.6**	**2.6**	**1.9**	**2.1**
Asia and the Pacific	**5.0**	**4.6**	**4.5**	**4.6**	**4.5**	**2.9**	**3.5**	**4.0**	**3.1**	**3.2**

ASEAN = Association of Southeast Asian Nations.

Notes: ASEAN comprises Brunei Darussalam, Cambodia, Indonesia, the Lao People's Democratic Republic, Malaysia, Myanmar, the Philippines, Singapore, Thailand, Timor-Leste, and Viet Nam. Most regional economies report by calendar year; reporting by fiscal year are South Asian countries (except Bhutan, Maldives, and Sri Lanka), the Cook Islands, the Marshall Islands, the Federated States of Micronesia, Myanmar, Nauru, Niue, Palau, Samoa, and Tonga.

Source: *Asian Development Outlook* database.

growth forecasts for the PRC are unchanged for both 2026 and 2027, supported by strong infrastructure investment and resilient exports. The Caucasus and Central and West Asia has the largest downgrade for 2026, by 0.4 pps, mainly reflecting the revision in Türkiye's growth projection due to higher input costs and weak external demand. South Asia's growth projection for 2026 is lowered by 0.3 pps, largely due to a downward revision for India, where elevated oil and transportation costs weigh on consumer sentiment and private demand. The 2026 forecast for developing Southeast Asia is trimmed following downward revisions for Cambodia and the Philippines as higher energy prices weigh on domestic demand and tourism. Forecasts are revised down for several Pacific economies as visitor arrivals fall short of expectations and import costs rise. For 2027, most subregional growth projections are unchanged, reflecting expectations of a gradual recovery. Downward revisions are seen in Caucasus and Central and West Asia as well as South Asia, driven by lower forecasts for Armenia, Bangladesh, Nepal, Pakistan, Sri Lanka, and Türkiye partly because of the continued impact of higher energy prices.

Inflation in DAP is projected to rise to 4.3% in 2026, 0.7 pps higher compared to April, and 1.3 pps above the 3.0% inflation recorded in 2025, while the 2027 projection is unchanged at 3.4%. Elevated oil and gas prices and their spillover to non-energy commodities are broadening price pressures across the region. Among subregions, the Caucasus and Central and West Asia has the largest upward revision for 2026, driven by a 2.0 pps increase for Türkiye on higher energy prices and their pass-through to energy-intensive sectors. For the PRC, the 2026 inflation forecast is revised up by 0.6 pps, reflecting stronger-than-expected energy price pressures. The PRC's 2027 projection is revised down marginally in line with gradually easing oil prices. Inflation projections for South Asia and developing Southeast Asia are raised for both 2026 and 2027 due to higher energy and food prices and currency depreciation in some economies. Inflation forecasts for the Pacific are maintained for both 2026 and 2027.

Renewed escalation in the Middle East conflict and prolonged energy market uncertainty are key risks to the outlook. A breakdown in the peace process or renewed escalation would tighten energy markets further, raise risk premia, and intensify inflationary and external pressures across DAP. Even after the framework agreement announced on 14 June, considerable uncertainty surrounds the timing and extent of normalization in global energy markets, which remain sensitive to fresh disruption. Durable implementation of the agreement could ease these pressures by lowering supply risks and price volatility, but the pace of adjustment is hard to predict. Escalation or persistent uncertainty could also tighten global financial conditions as investors reprice risk, widening spreads and strengthening the US dollar. This could raise debt-servicing costs in the region, dent investment and domestic demand, and put pressure on regional currencies, thereby raising imported inflation. A sharp correction in global equity markets is a related risk, particularly given stretched valuations in technology and AI-related stocks. Recent market volatility highlights the potential for an abrupt repricing, which could tighten financial conditions further, dampen investor sentiment, and spill over to the region through capital outflows and weaker external demand. Renewed trade policy uncertainty is a further risk. The US administration is reportedly considering new tariffs under Section 301 of the Trade Act of 1974, which could further disrupt global trade and constrain regional exports (Box 3). Additionally, food prices could face upward pressure from higher fertilizer costs and El Niño shocks, which could reduce agricultural output and challenge food security, particularly in rice-producing economies (Box 6). Further, the outlook is exposed to a downturn in the PRC property market beyond expectations, which could weigh on regional growth and financial stability.

Growth and Inflation Outlook by Subregion

Developing East Asia

The growth forecast for developing East Asia is maintained at 4.6% in 2026 and 4.5% in 2027, unchanged from *ADO April 2026*. In the PRC, growth accelerated more strongly than expected from 4.5% year on year in Q4 2025 to 5.0% in Q1 2026, supported by robust exports and infrastructure investment. However, momentum weakened in April and May. Taking into account more persistent disruption stemming from the Middle East conflict and weaker April–May data, Q2 growth is now projected to come in lower than previously anticipated. The authorities are expected to maintain a proactive fiscal stance in the second half of the year, supported by renewed public investment policies. These include the "Six Networks" initiative, covering power grids, computing, communications, water systems, underground pipelines, and logistics, and are partially supported by incremental policy-based financial instruments and ultra-long special treasury bonds. Further, local government bond issuance is expected to accelerate which will support infrastructure investment. Exports are expected to benefit from cost competitiveness; trade diversification beyond the US market; and the global AI investment cycle. Chip exports more than doubled year on year in May, while high-tech exports have risen by double digits in the year to date. However, weak income expectations, as indicated in recent National Bureau of Statistics surveys, are likely to keep private consumption subdued. Retail sales fell by 0.6% year on year in May, marking the first decline since December 2022. Overall, growth forecasts are maintained as a weaker outlook for Q2 growth is expected to be offset by stronger growth in the second half, reflecting new fiscal measures and support from stronger-than-expected Q1 growth. Risks to the outlook include elevated geopolitical tensions, supply disruption, and energy prices. A deeper property downturn could further worsen consumer and business sentiment, while elevated local government debt could limit the scope for further fiscal expansion. In Mongolia, growth forecasts for 2026 and 2027 are unchanged. As of Q1 2026, the conflict in the Middle East did not appear to have adversely affected Mongolia's exports, though heightened uncertainty may have been a factor slowing investment growth.

Inflation is forecast at 1.2% in 2026, up from the *ADO April 2026* projection, reflecting elevated energy prices, and at 0.9% in 2027, slightly lower than previously forecast. In the PRC, higher global energy prices pushed up producer price inflation, which averaged 1.0% year on year in the first 5 months of 2026 and accelerated to 3.9% in May. Consumer price inflation followed a similar pattern, averaging 1.0% and rising to 1.2% in May. Accordingly, the 2026 inflation forecast is revised up from 0.6% to 1.2%, reflecting a higher global oil price assumption. The 2027 forecast is revised down slightly to 0.9% owing to a higher base effect, the assumed gradual normalization of oil prices, and subdued domestic demand. Structural deflationary pressures in the housing market and consumer goods are expected to limit pass-through even if oil prices remain elevated. In Mongolia, inflation forecasts for 2026 and 2027 are unchanged. Fuel prices are expected to remain broadly stable to the end of 2026, predicated on the government's standing agreement with suppliers in the Russian Federation.

South Asia

Growth forecasts for South Asia are revised down to 6.0% for 2026 and 6.7% for 2027. The Middle East conflict pushed up oil prices, raised freight costs, and increased uncertainty over remittances from Gulf economies. Growth in Afghanistan rose to 2.3% in fiscal year 2026 (FY2026, ended March 2026), driven by stronger agricultural output, and the forecast is revised up to 3.0% for FY2027 on higher farm production and an expanded labor force as migrants return. In Bangladesh, the economy is forecast to have grown by 3.7% in FY2026 (ended 30 June 2026). This is lower than the *ADO April 2026* forecast of 4.0%, reflecting weak exports, subdued private investment, and supply-side constraints, even as resilient domestic demand provides some support. The FY2027 growth forecast is revised down to 4.5% due to energy supply constraints and vulnerability in the banking sector. The growth forecast for Bhutan in 2026 is revised down to 6.5% as higher fuel costs raise transport costs and delay private construction, while the forecast for 2027 is unchanged at 7.2%.

In Nepal, the growth forecast for FY2026 (ending mid-July 2026) is revised up to 3.9% on stronger industrial activity related to hydropower. For FY2027, the growth forecast is revised down to 4.5% as the Middle East conflict weighs on tourist arrivals and migrant outflows. Preliminary data show Pakistan's economy growing by 3.7% in FY2026 (ended 30 June 2026), supported by strong industry and services alongside modest agricultural gains. However, the growth forecast is revised down to 3.7% for FY2027 due to higher energy costs and pressure on remittances. Sri Lanka's growth forecast for 2026 is retained, as a strong Q1 outturn, led by broad-based growth in industry and services, offsets emerging pressures on the external sector. GDP is revised down for 2027 given the recent 100 basis point rate hike and its lagged impact on growth. Growth forecasts for Maldives in 2026 and 2027 are unchanged.

India's GDP growth forecasts are revised down to 6.6% for FY2026 (ending 31 March 2027) and maintained at 7.3% for FY2027. The FY2026 forecast is lowered from 6.9% projected in April, reflecting elevated energy prices, which squeeze real incomes. Growth will be supported by policy interventions to attract more foreign capital, as well as fuel tax cuts, targeted credit support, strong services exports, and public capital expenditure. The FY2027 growth forecast remains unchanged from April, underpinned by improved global conditions and export competitiveness gained through trade agreements with various partners. However, risks tilt to the downside driven by heightened geopolitical tensions, or weather-induced weakness in agriculture.

Inflation forecasts across South Asia are revised up to 5.7% for 2026 and 4.8% for 2027. Upward revisions reflect higher global energy prices from the Middle East conflict feeding through to fuel, transport, and food costs across the subregion. India's FY2026 inflation forecast is revised up to 5.2%, driven by higher oil prices and a weaker rupee, with food inflation adding further pressure from heatwaves and fading of favorable base effects. The FY2027 forecast is retained at 4.0% as fuel and food prices normalize, supported by favorable base effects. Inflation in Afghanistan averaged 3.6% in FY2026, driven by stronger nonfood price pressures from disrupted logistics, and the forecast is revised up to 5.5% for FY2027 as trade rerouting imposes higher costs. Bangladesh's inflation forecast for FY2026 is unchanged, but for FY2027 is revised up to 8.8% as second-round effects from fuel and electricity costs are expected to linger. Bhutan's inflation forecasts are revised up to 4.5% for 2026 and 4.0% for 2027, driven by fuel price increases and the transition to a goods and services tax, the effects of which are expected to normalize only gradually. Nepal's FY2026 inflation forecast is revised down to 3.2% as food deflation has persisted with improving agricultural supply, but the FY2027 forecast is raised to 5.0% on anticipated fuel cost pass-through, fiscal expansion, and stronger domestic demand. Pakistan's inflation forecast is revised up to 7.2% in FY2026 on rising food and fuel costs. The forecast for FY2027 is also revised up, to 8.3%, given persistent adverse spillover from the Middle East conflict. The inflation forecast for Sri Lanka in 2026 is revised up to 6.0%, reflecting cumulative rounds of domestic fuel price increases since February and electricity tariff hikes. The 2027 forecast is also raised, to 5.2%, as cost-recovery pricing reform continues under an International Monetary Fund program. Maldives' inflation forecasts are retained for both years as subdued early-year price readings are expected to give way to higher energy-driven inflation in the second half of 2026, given the country's high dependence on imports of fuel and other goods.

Developing Southeast Asia

For developing Southeast Asia, growth is revised down to 4.6% in 2026 and maintained at 4.8% in 2027. The Middle East conflict has weakened external demand, heightened global uncertainty, disrupted supply, and raised input and commodity costs. While the downward revision for the subregion in 2026 is modest, at 0.1 pps, it masks significant differences across economies. Among major economies in the subregion, the Philippines saw a downward adjustment in growth projections due to delayed investments, softer private consumption amid higher commodity prices and climate-related risks. Growth in 2026 is now projected at 3.8% from 4.4%, before picking up to 5.3% in 2027, slightly below the 5.5% forecast in April. Cambodia sees notable deterioration in its outlook amid adverse geopolitical shocks and prolonged closure of its border with Thailand. Hence, the growth forecast for 2026 is lowered by 0.4 pps to 4.1%, and for 2027 by 0.3 pps to 4.7%. Indonesia's outlook remains stable, with growth forecasts unchanged at 5.2% for both 2026 and 2027. Similarly, Malaysia's growth outlook is unchanged at 4.6% in 2026 and 4.5% in 2027. Thailand's growth forecasts are unchanged at 1.8% for 2026 and 2.0% for 2027. Viet Nam remains the region's fastest-growing economy, with growth forecasts maintained at 7.2% for 2026 and 7.0% for 2027. Robust performance across these economies reflects sustained growth in manufacturing, resilient exports and investment, and steady domestic demand. Among smaller economies, the outlook for the Lao People's Democratic Republic, Myanmar, and Timor-Leste remains unchanged for both 2026 and 2027. Brunei Darussalam's 2026 growth forecast is raised from 1.6% to 1.8%, reflecting gains from higher oil prices for this net energy exporter, while its 2027 projection is unchanged.

Inflation forecasts for developing Southeast Asia are revised up from 3.2% in April to 3.9% in 2026 and from 2.8% to 2.9% in 2027. The upward revisions reflect higher global energy and food prices linked to the Middle East crisis, as well as exchange rate pressures that have raised import costs across the subregion. For 2026, the largest upward revisions are for the Philippines, up by 1.9 pps to 5.9%, followed by Cambodia, up by 1.7 pps to 4.5%, and by Thailand, up by 1.6 pps to 2.9%. Forecasts for 2026 are also increased modestly for Indonesia, by 0.5 pps to 3.0%, and Malaysia, by 0.2 pps to 2.0%. Viet Nam's inflation projections are unchanged. Among smaller economies, inflation in Brunei Darussalam and Timor-Leste is forecast to remain below most regional peers, while the Lao People's Democratic Republic and Myanmar continue to face high inflation, reflecting persistent macroeconomic and structural challenges.

Caucasus and Central and West Asia

Growth forecasts for the Caucasus and Central and West Asia are revised down to 3.8% for 2026 and 4.2% for 2027. The 2026 downgrade reflects lower forecasts for Armenia, in light of recent Russian trade restrictions; Türkiye, after weaker Q1 growth; and Turkmenistan, because of higher costs from rerouting trade around Iran. For 2027, Armenia's forecast is lowered to 5.5% as prolonged disruptions from the Middle East conflict and trade restrictions weigh on the outlook. Türkiye's outlook is similarly lowered due to higher fuel and fertilizer prices and a weaker external environment that weighs on industry and exports. Forecasts for Azerbaijan, Georgia, Kazakhstan, the Kyrgyz Republic, Tajikistan, and Uzbekistan are unchanged for both years.

In Kazakhstan, growth forecasts for 2026 and 2027 are maintained at 4.8% and 4.5%, respectively. Growth in Q1 2026 was weaker than anticipated, primarily from sharp contraction in mining. Oil output fell by 13.8% year on year following disruptions at the Tengiz field and temporary export constraints affecting the Caspian Pipeline Consortium. These factors contributed to a 21.5% decline in oil exports. Oil sector prospects are expected to remain constrained by revised production targets, compensation commitments under the Organization of the Petroleum Exporting Countries and its partners (OPEC+), and logistical challenges, including rerouting exports after the suspension of Druzhba pipeline flows to Germany. However, the 2026 growth forecast is maintained, as resilient manufacturing, services, and other non-oil activities are expected to offset weakness in petroleum. In 2027, growth is expected to be supported mainly by non-oil sectors and quasi-fiscal spending, while capacity constraints and external risks continue to limit the oil sector's contribution.

In Türkiye, the growth forecast is revised down to 3.1% for 2026 and 3.8% for 2027. Growth moderated from 3.6% in 2025 to 2.5% in Q1 2026 as higher input costs and weaker external demand weighed on industry and exports. Taking into account base effects from 2025, the 2026 forecast is downgraded by 0.5 pps from April. The 2027 forecast is also lowered, reflecting the expected impact of higher fuel and fertilizer prices and a weaker external environment on industrial production and export performance. Even so, economic activity is expected to be supported by stronger private consumption, resilient investment, and a gradual recovery in confidence as spillovers from the Middle East conflict fade and macroeconomic policy becomes more accommodative.

The 2026 inflation forecast for the Caucasus and Central and West Asia is revised up to 22.0%, while the 2027 forecast is unchanged at 16.3%. The upward revision for 2026 reflects sustained price pressures across the subregion as the impacts from the Middle East crisis slow disinflation in Türkiye and raise fuel prices more broadly. Armenia's inflation forecasts for both 2026 and 2027 are revised up on supply chain disruption and rising energy costs. Inflation accelerated to 4.5% in January–May despite Russian restrictions on selected Armenian exports that may increase domestic food supply and help contain price pressures. Georgia's 2026 forecast is raised to 4.9%, reflecting conflict-induced increases in energy, transport, and production costs; the 2027 forecast is unchanged. The Kyrgyz Republic's 2026 inflation forecast is also revised up to 11.2%, on strong domestic demand and external pressures, while the 2027 forecast is maintained at 8.5%. Tajikistan's inflation forecasts are revised up for both 2026 and 2027, to 4.5% and 4.7%, driven by higher-than-expected global fuel prices. Türkiye's 2026 inflation forecast is revised up to 29.7% as disinflation slows amid elevated commodity prices despite tight monetary policy; its 2027 forecast is unchanged at 21.5%. Inflation forecasts for Azerbaijan, Kazakhstan, Turkmenistan, and Uzbekistan are unchanged for both years.

The Pacific

The 2026 growth projection for the Pacific is revised down from 3.4% in *ADO April 2026* to 3.3%, while the 2027 projection is maintained. Conflict in the Middle East has driven up the cost of such essential imports as fuel, food, and production inputs, dampening economic activity. Government mitigation measures such as fuel price subsidies and tax relief have only partly cushioned the impacts. Growth forecasts for Papua New Guinea, the subregion's largest economy, are unchanged at 3.6% for 2026 and 3.4% for 2027. Its status as a net hydrocarbon exporter and its fuel subsidies for businesses have accommodated domestic demand and mitigated spillovers from global shocks. Growth forecasts for Fiji are revised down to 2.6% in 2026 and 2.5% in 2027, reflecting a dampened outlook across agriculture, mining, manufacturing, utilities, and transport, as well as lingering pressures from global energy prices, which weigh on industrial activity and tourism services. Impacts from the Middle East conflict similarly weigh on the growth outlook for the Marshall Islands, the Federated States of Micronesia (FSM), and Palau, hitting construction, domestic consumption, and tourism. Growth forecasts for 2026 are revised down for the Marshall Islands to 3.0%, Palau to 5.8%, and the FSM to 0.7%. Forecasts for 2027 are revised down for the Marshall Islands to 2.6% and Palau to 3.6%, but for the FSM unchanged at 1.0%. Samoa's growth outlook is lowered to 2.0% in FY2026 (ended 30 June 2026) as weaker-than-expected GDP outturns weigh on economic activity, despite support from higher government spending in the latter part of the period. The FY2027 projection remains unchanged at 3.0%. Reescalation in the Middle East conflict poses a risk to the growth outlook for the Pacific, as does the onset of El Niño, which could raise disaster risk and threaten water and food security across the subregion.

Inflation forecasts for the Pacific are maintained at 4.2% for 2026 and 3.5% for 2027. In several economies, fiscal measures such as subsidies and temporary tax relief have been deployed as cushions for consumers against rising prices. Upward revisions to inflation in several smaller Pacific economies are masked, however, in the stable outlook for the subregion as a whole, which reflects unchanged forecasts for Papua New Guinea. Higher projected international commodity prices and imported inflation contribute to upward inflation pressures in the Marshall Islands, the FSM, Palau, and Tuvalu in 2026 and 2027. The inflation forecast for the Marshall Islands is revised up to 6.2% for 2026 and 5.3% for 2027. For the FSM, inflation forecasts are adjusted up to 3.8% in 2026 and 3.5% in 2027, and for Palau to 2.9% in 2026 and 2.5% in 2027. Similarly, projected inflation in Tuvalu is revised up from 3.1% to 3.5% in 2026 and from 1.0% to 1.7% in 2027. In Fiji, external price pressures and higher kava and transport prices prompt an upward revision to the 2026 inflation forecast to 3.6%, while the 2027 projection is maintained at 1.9%, as higher baseline global oil prices are already built into the outlook. Meanwhile, milder domestic price movements mean lower-than-forecast inflation in Samoa in FY2026, while the forecast for FY2027 is unchanged at 4.0%. The main risks to the Pacific inflation outlook are prolonged volatility in international commodity prices, especially for fuel, and any supply chain disruption arising from the conflict in the Middle East.

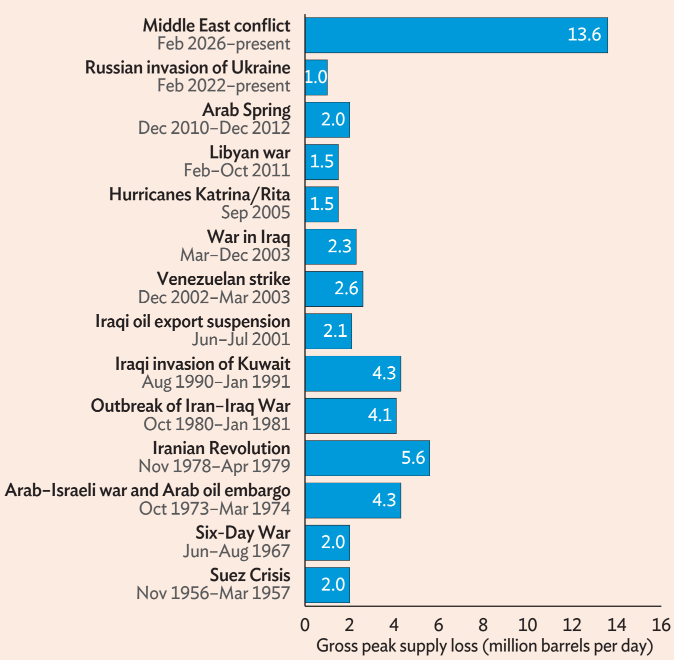
Box 1 The Middle East Energy Shock: Record Supply Losses, But No Record Price Spike

The conflict that began on 28 February 2026 triggered an unprecedented shock to global oil supply (IEA 2026a). The disruption stemmed from severe restrictions on shipping through the Strait of Hormuz, a critical chokepoint that normally carries about 25% of global seaborne oil trade and about 20% global liquefied natural gas trade (IEA 2026b). Supply losses mounted as the conflict persisted. Global oil supply fell by more than 10 million barrels per day (mb/d) in March (IEA 2026c) and declined further through April and May to reach 13.6 mb/d below pre-conflict supply (IEA 2026d). This largely reflected a reduction by roughly 10 mb/d in Middle Eastern crude oil and condensate exports, which severely disrupted supply to major importing economies (IEA 2026a). At its peak, the shortfall equaled about 13% of 2025 global oil supply and exceeded losses in every previous oil crisis (box figure 1). By comparison, the 1973 Arab oil embargo and the 1990 Gulf War removed 4–6 mb/d at their peaks, and the initial loss following the Russian invasion of Ukraine in 2022 was about 1 mb/d.

Despite being the largest supply disruption on record, the conflict did not push oil prices to the inflation-adjusted peaks reached in earlier crises (box figure 2). As flows through the Strait of Hormuz were curtailed, Brent crude

1 Major Oil Supply Disruptions

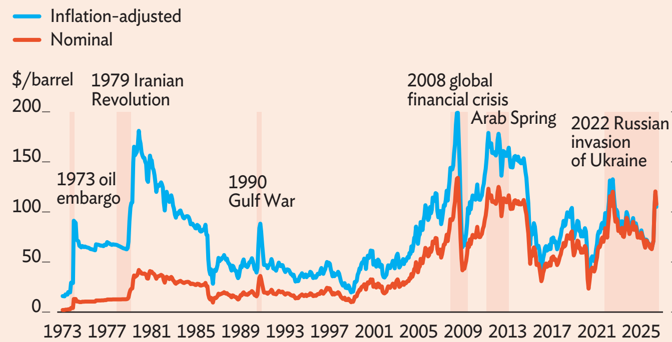
Oil supply losses during the 2026 Middle East conflict surpassed those observed during earlier major oil crises.



Sources: IEA. 2007. Oil Supply Security; Escribano, G. 2011. The International Energy Agency Responds to the Libyan Crisis; Mearns, E. 2014. The Arab Spring—Impact on Oil Production (accessed 19 June 2026) IEA. 2022. Oil Market Report. 12 May; IEA. 2026. Oil Market Report. 17 June.

2 Brent Crude Spot Prices

Real oil prices remained below the highs reached during earlier crises.



Note: Oil prices are deflated using the US consumer price index and rebased to February 2026 (= 100).

Sources: World Bank Commodity Markets online database; CEIC Data Company.

spot prices rose by about 104% from 27 February to a peak of about $144/barrel on 7 April, before easing to about $98/barrel in early June. Front-month futures were highly volatile as markets grappled with the scale and likely duration of the disruption. With fewer physical barrels available for delivery, the premium of spot prices over front-month futures widened to as much as $36/barrel in early April as buyers competed for alternative supplies. The gap narrowed only as trade flows adjusted and refiners secured replacement crude, and prices stayed elevated through late April and May.

Supply-side buffers and market adjustment helped cushion the disruption. The world entered the crisis with unusually ample inventories. Global oil stocks rose by 477 million barrels in 2025 as supply growth outpaced demand (box figure 3). Observed inventories of crude and petroleum products exceeded 8.2 billion barrels in early 2026, their highest since 2021 (IEA 2026e). Another factor was that not all Middle Eastern oil exports were lost. Some producers bypassed the Strait of Hormuz through alternative export routes, with Saudi Arabia increasing shipments from Red Sea terminals and the United Arab Emirates through Fujairah. This rerouting mitigated the supply shock. Finally, higher output and exports from producers outside of the Middle East offset some losses. US crude exports reached a record 5.6 mb/d in May, while a temporary waiver of sanctions on Russian oil shipments further widened access to alternative supplies and helped redirect crude to affected importers.

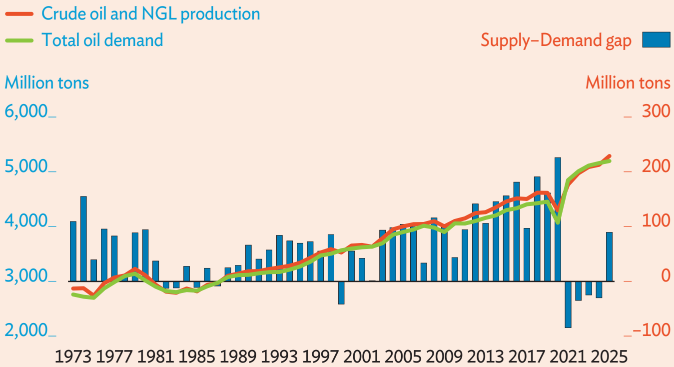
Coordinated emergency stock releases provided further market support. Emergency reserves have been tapped in previous oil supply disruptions, but the response to the current crisis was unprecedented in scale. The IEA coordinated the largest emergency release in its history, with member economies agreeing to make 400 million barrels available (IEA 2026f). The US accounted for the largest

continued on next page

Box *Continued*

3 Global Oil Supply and Demand

The crisis began against a backdrop of unusually abundant oil supplies.

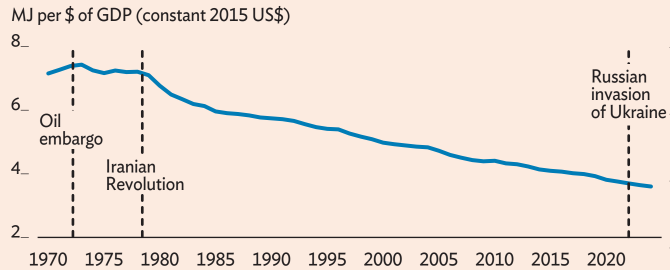


NGL = natural gas liquid.

Sources: IEA. World Oil Supply and Demand, 1971–2020 database; IEA. 2026. Oil Market Report. 13 May; IEA. 2024. Oil 2024.

4 Oil and Gas Intensity

Oil and gas intensity has fallen markedly since the 1970s, making economies less exposed to energy supply shocks.



GDP = gross domestic product, MJ = megajoule.

Note: Oil and gas intensity is the share of oil and gas consumption to GDP.

Sources: Energy Institute. 2025 Statistical Review of World Energy; World Bank. World Development Indicators online database.

share, committing 172.2 million barrels from its Strategic Petroleum Reserve (SPR). By 29 May, SPR holdings had fallen by about 50 million barrels from 357 million barrels in late February to reach their lowest since January 2024. Japan made the second-largest commitment, pledging 79.8 million barrels from government and industry stocks, and beginning drawdowns in March.

Weaker demand provided additional relief. High prices, slower global growth, and weaker industrial activity cut oil consumption, prompting the IEA to lower its global demand forecasts. The sharpest adjustment occurred in Asia. The combined crude oil imports of the People's Republic of China, Japan, and the Republic of Korea dropped by about 7 mb/d, or nearly 40%, between February and May.

Market expectations also helped contain price pressures. While spot prices surged as refiners competed for immediate supplies, longer-dated futures rose by far less. Through April and May, Brent spot prices remained above $100/barrel, yet futures contracts for delivery in late 2026 traded below $100 and declined further into 2027. With the far end of the curve pricing in normalization, holders had little incentive to stockpile barrels for later resale, so oil flowed into the spot market rather than into storage, easing pressure on prompt supply.

The factors restraining prices so far may not hold if the disruption proves more prolonged. Buffers are already thinning on several fronts. Global inventories fell by about 330 million barrels from March to May as governments and refiners drew down strategic and commercial stocks (IEA 2026a,d). Floating storage has also declined from its pre-conflict high, reducing one of the market's key sources of short-term flexibility. Demand-side relief may also fade.

The sharp fall in Asian imports reflected scarce, costly crude rather than a lasting fall in consumption, so it is likely to reverse as Hormuz flows resume and prices ease. Moreover, recovery in demand could outpace recovery in supply. As the conflict recedes, refiners and governments will move to rebuild depleted inventories, possibly to above pre-conflict levels as a precaution against renewed shocks. With physical supply still normalizing only gradually, this restocking could tighten the market and put renewed upward pressure on prices, even as the conflict itself winds down.

At the same time, a more structural factor has limited the impact of the 2026 energy shock. The energy intensity of production—measured as oil and gas consumption relative to GDP—has decreased substantially. This decline reflects improved energy efficiency, a structural shift toward less energy-intensive services, and the growing role of renewables. Global oil and gas use has fallen from about 7.3 megajoules per dollar of GDP (MJ/$) in the early 1970s to below 4.0 MJ/$ by 2024 (box figure 4). The same supply loss therefore translates into a smaller economic shock than it would have in the past.

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This box was written by Pilipinas Quising.

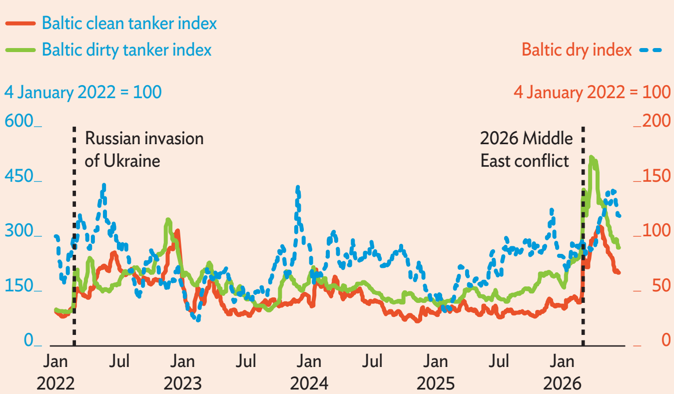
Box 2 Supply Chain Disruption: Implications for Inflation in Developing Asia and the Pacific

Supply chain disruptions from the conflict in the Middle East have added to inflation in developing Asia and the Pacific (DAP). The most immediate effects from the conflict have been felt through higher energy import prices, which, given the region's heavy reliance on imported hydrocarbons, were rapidly reflected in increased energy prices across many economies. The conflict triggered an immediate spike in energy shipping costs, with the Baltic Dirty Tanker Index rising by 24% from 28 February to 2 March, and the Baltic Clean Tanker Index by 16%, sharply increasing the cost of oil and petroleum imports. Freight costs for dry-bulk commodities, as measured by the Baltic Dry Index, increased more gradually (box figure 1). Average energy-related inflation in DAP more than tripled from 2.8% year on year in February to 9.8% in May. Beyond these direct impacts, disrupted global supply chains and bottlenecks along major shipping routes have further amplified inflation by raising transportation costs.

Diversions and restrictions along shipping routes have disrupted the flow of energy and other goods, lengthening transit times and intensifying supply chain stress. Surveys, maritime tracking tools, and other monitoring systems suggest these pressures are pervasive. From 1 January 2026 to the onset of the Middle East conflict on 28 February, about 112 commercial vessels transited the Strait of Hormuz daily. By 2 March, however, daily traffic had fallen to only 6 vessels. That is a 96% decline from the 2026 peak of 146 vessels, recorded on 18 February (box figure 2). Survey evidence points to similar strains: the suppliers' delivery times index from S&P global purchasing managers' index (PMI) surveys shows that global delivery times lengthened from February to April and remained elevated in May (box figure 3). Similarly, the Global Supply Chain Stress Index, which measures stalled shipping capacity across major maritime routes, has risen by about 18% since January to levels last seen in early 2022, following the Russian invasion of Ukraine.

1 Baltic Dry and Tanker Indexes

Tanker markets reacted swiftly to the conflict in the Middle East, while freight costs for dry goods, as measured by the Baltic Dry Index, rose more gradually.

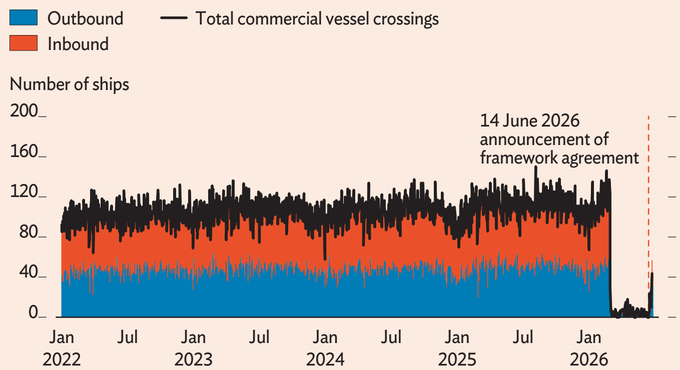


Note: The Baltic Dirty Tanker Index measures freight rates for unrefined petroleum products such as crude oil, while the Baltic Clean Tanker Index measures freight rates for refined petroleum products such as gasoline, diesel, jet fuel, and naphtha. The Baltic Dry Index tracks the cost of transporting dry bulk cargo such as iron ore, steel, coal, wheat, grain, salt, and cement.

Source: CEIC Data Company.

2 Commercial Vessels Passing Through the Strait of Hormuz

The closure of the Strait of Hormuz triggered a sharp drop in the number of ships passing through the route.

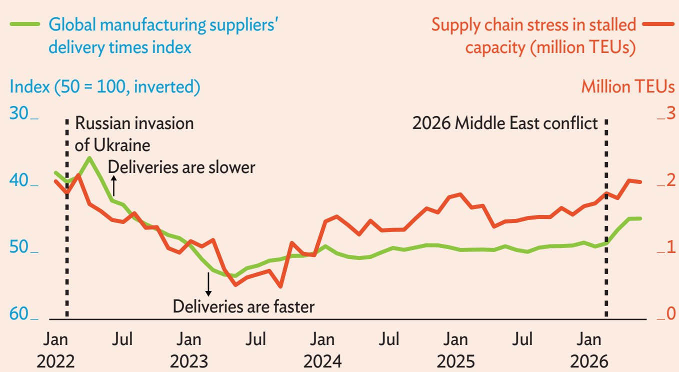


Note: Vessel counts are presented as a daily total of completed chokepoint transits using automatic identification system data. Latest observation is 24 June 2026.

Source: Bloomberg.

3 Global Manufacturing Delivery Times and Supply Chain Stress

Disruption slowed deliveries globally and worsened supply chain stress and logistical bottlenecks.



TEU = 20-foot equivalent unit.

Notes: The manufacturing suppliers' delivery times is a diffusion index derived from monthly S&P purchasing managers' index (PMI) surveys of manufacturing firms, in which respondents report whether supplier delivery times are faster, unchanged, or slower than in the previous month. Readings of 50 indicate no change in delivery times from the prior month, above 50 that delivery times have become shorter, and below 50 that delivery times have become longer. The Global Supply Chain Stress Index is a monthly indicator that measures the volume of global shipping capacity delayed across ports. Values above 0 indicate above-average supply chain stress with tighter conditions and delays, and values below 0 below-average stress.

Sources: Haver Analytics; Arvis J. et al. 2026. A Metric of Global Maritime Supply Chain Disruptions: The Global Supply Chain Stress Index (GSCSI). World Bank.

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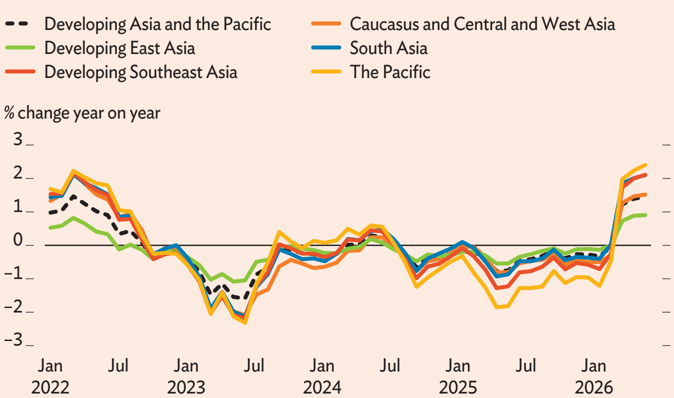
Box *Continued*

Supply chain friction and precautionary stockpiling have induced shortages of raw materials and intermediate goods, with disruption spreading through regional production networks. Many Asian economies that serve as key manufacturing and food production hubs have suffered delays in receiving critical inputs, disrupting assembly lines, production schedules, and profitability. Supply constraints have been particularly acute for inputs essential to the semiconductor industry, including helium, bromine, and aluminum, with potential for spillover across manufacturing supply chains. Agriculture has also been affected as high costs reduced fertilizer use (Box 6). Shortages have raised costs for externally sourced inputs (box figure 4), pushing up producer and wholesale prices. As uncertainty resulting from shortages rises, firms have increased precautionary stockpiling, further tightening supplies and amplifying cost pressures across production networks. This is reflected in the 4-year high share of manufacturers boosting safety buffers globally in May 2026, and the rising efforts by firms to diversify suppliers and reshore production (Valerio 2026; Williamson 2026).

4 Import Price Index, Developing Asia and the Pacific

Import price indexes shot up in March 2026 and remained elevated in May.



Notes: The import price index is weighted by the ratio of imports to gross domestic product (GDP). The Caucasus and Central and West Asia includes Armenia, Azerbaijan, Georgia, Kazakhstan, Kyrgyz Republic, Tajikistan, Türkiye, and Turkmenistan; developing East Asia pertains to the People's Republic of China; South Asia includes Afghanistan, Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, and Sri Lanka; developing Southeast Asia covers Brunei Darussalam, Cambodia, Indonesia, the Lao People's Democratic Republic, Malaysia, Myanmar, the Philippines, Thailand, Timor-Leste, and Viet Nam; and the Pacific includes Fiji, Kiribati, Papua New Guinea, Samoa, Solomon Islands, Tonga, Tuvalu, and Vanuatu. Developing Asia and the Pacific and subregional averages are aggregated using GDP in purchasing power parity.

Sources: Asian Development Bank estimates using data from the International Monetary Fund. Commodity Terms of Trade Database; CEIC Data Company.

Prolonged supply chain disturbance could exert sustained upward pressure on prices and inflation. Ocean shipping carries about 80% of global trade, so persistent delays are likely to sustain elevated cross-border transport costs for intermediate and final goods (UNCTAD 2024). Recent evidence indicates that supply chain shocks have become a significant source of inflationary pressure (box table). For example, Jiao et al. (2026), based on evidence from granular port-level trade data from the USA Trade Online database, estimated that a 100-hour shipping delay raises inflation by about 0.5 percentage points at its 5-month peak. Platitas and Ocampo (2025) found that supply chain disruption in selected Asian economies pushes up inflation by 0.05–0.26 percentage points, rising as early as the second month and peaking at 9–14 months. Other studies report similar findings, showing that shipping delays and higher freight costs pass through to import prices, producer prices, and food and core inflation—as well as inflation expectations—though the size and persistence of these effects vary across economies.

Selected Studies on the Pass-through of Shipping Disruption to Inflation

Study	Key Findings
Jiao et al. 2026	100-hour shipping delay raised inflation by ~0.5 percentage points, peaking at 5 months.
Baslandze and Fuchs 2025	Delivery delays and shortages significantly raised retail prices, with strong persistence and spillover.
Boohaker 2025	Shipping cost shocks passed through to the consumer price index, peaking at roughly 10 basis points ~6 months after the shock and lasting ~10 months; effects on the producer price index were higher than on consumer products and occur sooner.
Rusticelli and MacLeod 2025	Shipping costs increased import prices and core inflation, though pass-through was moderate.
Platitas and Ocampo 2025	A significant and sizeable impact was seen in the Philippines (peaking at 0.27 percentage points at 11 months and persisting until the 13th month) and the Republic of Korea (felt earlier and becoming significant in 4–14 months); Thailand and Singapore exhibited delayed but significant impact from supply-chain pressures.
Bai et al. 2024	Port congestion and delays were major drivers of pandemic-era inflation.
Isaacson and Rubinton 2023	Shipping costs contributed 3.6–5.9 percentage points to import price inflation.
Carriere-Swallow et al. 2022	Shipping cost spikes increased import prices, the producer price index, and headline and core inflation, as well as inflation expectations.

AIS = automatic identification system.

Sources: Cited working papers and articles.

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Box *Continued*

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This box was written by Roshen Fernando and Shiela Camingue-Romance.

Box 3 Shifting US Tariff Policy and Implications for Developing Asia and the Pacific

Recent trade policy developments indicate that United States trade restrictions are likely to remain broad despite the Supreme Court's invalidation of key tariff measures. On 20 February 2026, the US Supreme Court ruled invalid tariffs introduced under the International Emergency Economic Powers Act (IEEPA). The decision nullified IEEPA tariffs affecting Canada, the People's Republic of China (PRC), and Mexico, along with the economy-specific tariffs of 10%–50% applied to economies worldwide. The administration responded on the same day, invoking Section 122 of the Trade Act of 1974 to establish a 10% global import surcharge, effective on 24 February 2026. Section 122, however, provides a narrower basis: tariffs are capped at 15% and limited to 150 days, so the measure is due to expire on 24 July 2026. The administration has signaled that it will seek a more durable legal basis for maintaining trade restrictions (McCracken 2026; Wolff 2026).

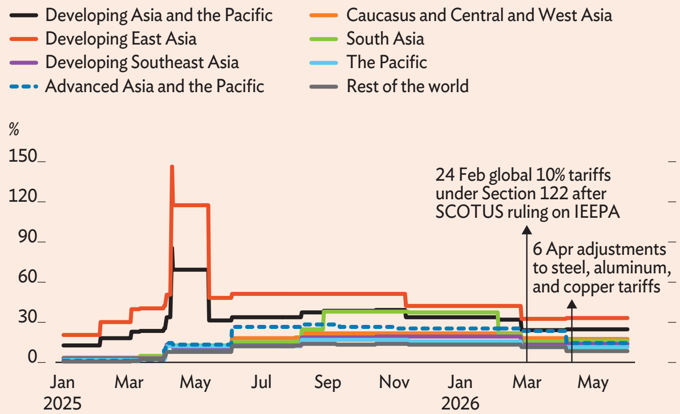
The US tightened its tariff regime on metals by expanding the tariff base on derivative products to their full value and introducing tiered rates across categories. Until 6 April 2026, Section 232 of the Trade Expansion Act imposed a 50% tariff on steel, aluminum, and copper products. For derivative products, that rate applied only to the value of the metal content. On 6 April, the US government overhauled the regime. Tariffs on derivatives now apply to the full product value regardless of the metal content, and coverage was revised. Tariff rates are now tiered by classification, ranging from 50% for primary metals to 15% for a small subset of products. Further revisions on 8 June 2026 temporarily moved some products previously subject to a 25% tariff into the 15% tier until December 2027.

The region remains disproportionately exposed to elevated US tariffs. The effective tariff rate for developing Asia and the Pacific (DAP) stands at 24.8%, nearly double the rate before the April 2025 tariff announcements (box figure 1). By subregion, developing East Asia faces the highest rate at 34.4%, largely reflecting tariffs on the PRC, while the Pacific records the lowest, at 9.9%. Rates on all five subregions of DAP remain above the average rate of 7.9% applied to the rest of the world.

The US is preparing Section 301 measures as Section 122 tariffs near expiration. With Section 122 surcharges set to expire on 24 July 2026, the administration is moving toward replacement measures under Section 301 of the Trade Act of 1974. In March, the United States Trade Representative (USTR) launched two investigations: one into alleged failure in 60 economies to prohibit and effectively enforce bans on imports of goods produced with forced labor (USTR 2026a),

1 United States Effective Tariff Rates

US effective tariff rates have eased from earlier peaks but remain substantially higher for developing Asia and the Pacific than for the rest of the world.



IEEPA = International Emergency Economic Powers Act, SCOTUS = Supreme Court of the United States.

Notes: Values are effective, trade-weighted tariff rates and may differ from published statutory tariff rates because multiple tariffs can apply to the same product under different trade actions, and because the estimates reflect product and trade weights. Tariffs specified at a level more detailed than the Harmonized System (HS) 6digit classification are assumed to apply to all goods within the corresponding HS 6digit code. Trade weights are based on 2024 data.

Sources: Asian Development Bank estimates based on World Trade Organization. Observatory of Economic Complexity; Integrated Database and Consolidated Tariff Schedules; and official United States government sources.

and the other into alleged structural excess capacity and production in the manufacturing sectors of 16 economies (USTR 2026b).

One of the Section 301 investigations has already led to proposed tariffs on 60 economies (USTR 2026a)**.** On 2 June 2026, the USTR issued its determination and proposed additional tariffs of 10%–12.5%. Among economies in Asia and the Pacific, a 10% tariff was proposed for Bangladesh; Cambodia; Indonesia; Malaysia; Pakistan; and Taipei,China. A 12.5% tariff was proposed for Australia; the PRC; Hong Kong, China; India; Japan; Kazakhstan; the Republic of Korea; New Zealand; the Philippines; Singapore; Sri Lanka; Thailand; Türkiye; and Viet Nam. Compared with the IEEPA and Section 122 measures, Section 301 rests on a firmer legal basis and carries broader operational scope, but it requires a longer implementation process. Public hearings on the proposed action are scheduled for 7–15 July 2026.

Scenario analysis suggests that the Section 301 tariffs proposed in June would modestly raise DAP's tariff burden, with uneven effects across subregions. Analysis assumes that the US maintains at least the current 10% tariff rate after the temporary Section 122 surcharges expire on

continued on next page

Box *Continued*

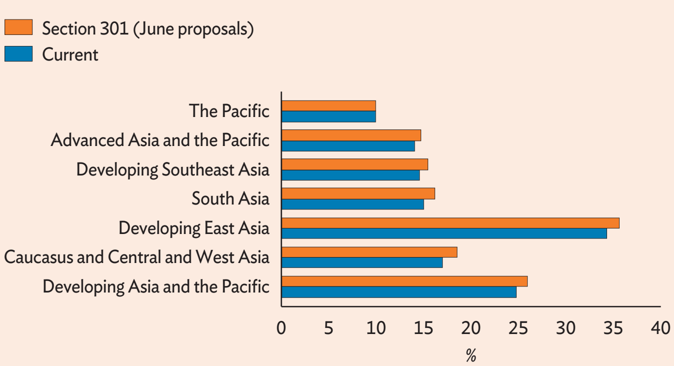
24 July[a]. Economies covered by the proposed Section 301 tariffs are assumed to face an additional 2.5 percentage points (pps) surcharge, raising their rate to 12.5%. Under these assumptions, DAP's effective tariff rate would increase from 24.8% to 25.9% (box figure 2). Among DAP subregions, the Caucasus and Central and West Asia would record the largest increase, at 1.6 pps, followed by developing East Asia at 1.3 pps, South Asia at 1.2 pps, and developing Southeast Asia at 0.9 pps. Advanced Asia and the Pacific would face a smaller increase of 0.7 pps. The Pacific would be unaffected, as none of its economies are covered by the proposed tariffs.

Additional measures are likely to follow from ongoing Section 301 investigations into structural excess capacity and production. These cover 12 economies in Asia and the Pacific: Bangladesh; Cambodia; the PRC; India; Indonesia; Japan; the Republic of Korea; Malaysia; Singapore; Taipei,China; Thailand; and Viet Nam. Separately, the USTR opened a Section 301 investigation into intellectual property protection and enforcement in Viet Nam (USTR 2026c). Both investigations could bring recommended actions, including tariff and nontariff measures.

Taken together, these developments suggest that trade policy uncertainty may remain elevated despite some recent easing. The trade policy uncertainty index has declined since the US Supreme Court's ruling in February 2026 (box figure 3), but the easing may prove temporary. The outcomes of USTR investigations will determine which economies are affected and at what rates, but the scope, scale, and timing of further measures remain uncertain.

2 Effective Tariff Rates under Current Policy and Under Section 301 June Proposals

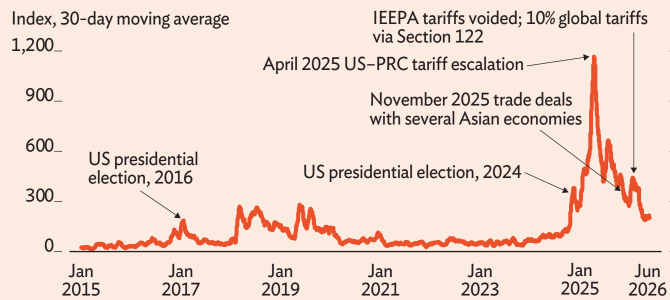
Proposed Section 301 measures would modestly raise United States effective tariff rates across Asia but not in the Pacific.



Source: Asian Development Bank calculations.

3 Trade Policy Uncertainty Index, 1 Feb 2015–8 June 2026

Trade policy uncertainty has eased further since the US Supreme Court's ruling in February 2026 but remains elevated and could rise again as new tariff actions advance.



IEEPA = International Emergency Economic Powers Act, PRC = People's Republic of China, US = United States.

Note: The 30-day moving average of the trade policy uncertainty index measures the frequency of articles discussing trade policy uncertainty in seven newspapers: six in the US and one in the United Kingdom.

Source: Caldara D. et al. 2020. The Economic Effects of Trade Policy Uncertainty. *Journal of Monetary Economics*. 109.

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[a] Currently all economies face a 10% tariff under Section 122, set to expire on 24 July. For the purposes of this analysis, we assume that the US administration will seek to maintain at least the current level of tariffs across all economies. Hence, a 10% tariff is retained for all economies. For those economies that would be subject to the 12.5% rate proposed in June under a Section 301 investigation, we assume an additional 2.5 pps.

This box was written by Tolga Ozden and Ed Kieran Reyes.

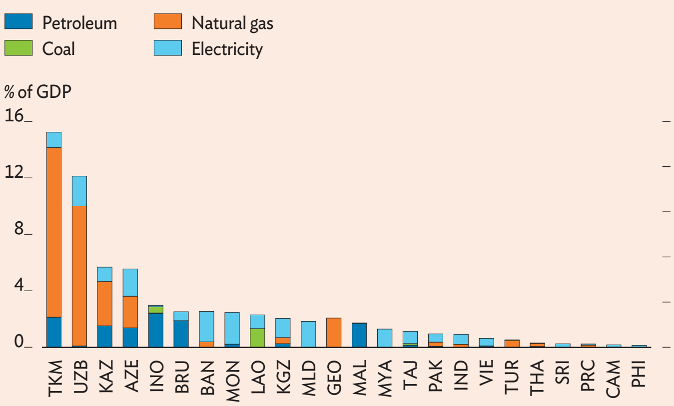
Box 4 Fiscal Implications of Higher Fossil Fuel Subsidies in Developing Asia and the Pacific

Rising fuel costs could place substantial fiscal burdens on governments in developing Asia and the Pacific (DAP). Measures such as energy price caps or fuel subsidies offer immediate relief to households and firms, but they tend to be regressive and fiscally costly, particularly when prices remain elevated for an extended period (Abiad et al. 2026). Caution is therefore warranted in using such measures, particularly where fiscal space and financing conditions are tight.

Many economies in the region already devote substantial resources to fossil fuel subsidies, leaving their public finances exposed to increases in global energy prices. This exposure is particularly large in the Caucasus and Central and West Asia. In 2024, the latest year with available data, explicit fossil fuel subsidies amounted to about 15% of GDP in Turkmenistan, 12% in Uzbekistan, and 6% in Azerbaijan and Kazakhstan (box figure 1).[a] Fiscal exposure is lower but still significant in several other economies, with shares of roughly 3% in Bangladesh and Indonesia and 1%–2% elsewhere. Natural gas accounts for the largest share of subsidies, followed by petroleum and electricity, with most support directed to households and other consumers. Coal subsidies remain significant in some economies, including Indonesia and the Lao People's Democratic Republic. Except for oil and gas producers such as Azerbaijan, Brunei Darussalam, Kazakhstan, and Turkmenistan, most economies in DAP that provide fossil fuel subsidies are net importers.

1 Explicit Fossil Fuel Subsidies in developing Asia and the Pacific by Type, 2024

Fossil fuel subsidies absorb 6%–15% of GDP in parts of the Caucasus and Central and West Asia, and are significant elsewhere.



AZE = Azerbaijan, BAN = Bangladesh, BRU = Brunei Darussalam, CAM = Cambodia, GDP = gross domestic product, GEO = Georgia, IND = India, INO = Indonesia, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, LAO = Lao People's Democratic Republic, MAL = Malaysia, MLD = Maldives, MON = Mongolia, MYA = Myanmar, PAK = Pakistan, PHI = Philippines, PRC = People's Republic of China, SRI = Sri Lanka, TAJ = Tajikistan, THA = Thailand, TKM = Turkmenistan, TUR = Türkiye, UZB = Uzbekistan, VIE = Viet Nam.

Notes: The figure shows all economies in developing Asia and the Pacific for which explicit fossil-fuel subsidy estimates are available in IMF (2025). Economies without reported subsidies or data are omitted, as are economies with subsidies below 0.1% of GDP.

Sources: Asian Development Bank computations using data from IMF. 2025. *Underpriced and Overused: Fossil Fuel Subsidies Data 2025 Update*. International Monetary Fund; and World Economic Outlook April 2026 database.

Higher international energy prices could substantially increase the fiscal cost of fossil fuel subsidies. To gauge potential impact, a simulation applies this report's forecasts for oil and natural gas prices to 2024 subsidy levels, expressed as shares of GDP. The *Asian Development Outlook July 2026* forecasts crude oil prices averaging $87/barrel and natural gas (Japan) prices at $24 per million British thermal units (BTU) in 2026. Crude oil prices averaged $56/barrel in 2024, while natural gas (Japan) averaged about $13 per million BTU. Based on simulation parameters, average petroleum subsidy costs could rise by about 0.2 percentage points of GDP in 2026. The impact is larger for natural gas, where subsidy costs could rise by about 1.1 points of GDP, reflecting its greater weight in subsidy schemes.

Estimated fiscal impact varies considerably across economies and is largest where subsidies are already substantial. In Indonesia, higher petroleum prices could raise subsidy costs from 2.4% of GDP in 2024 to 3.2%; in Malaysia, from 1.7% to 2.1% (box figure 2). The effect is starkest in Uzbekistan, where higher natural gas prices could more than double the cost, from 10% of GDP to over 13.0%. These estimates do not account for other forms of support, such as direct cash transfers, and do not incorporate potential adjustments to fuel consumption or supply responses, which would tend to dampen the increases.

Reducing fossil fuel subsidies would improve fiscal resilience under energy shocks, while preserving incentives for energy conservation. Governments should rely primarily on temporary, well-targeted measures that protect vulnerable households without compromising fiscal sustainability or blunting price incentives. Options include targeted cash transfers, public-transport subsidies, energy-conservation initiatives, and energy-bill rebates that are not linked to the volume of consumption. To preserve fiscal space and longer-term energy resilience, such measures should be unwound as price pressures ease rather than allowed to become permanent entitlements.

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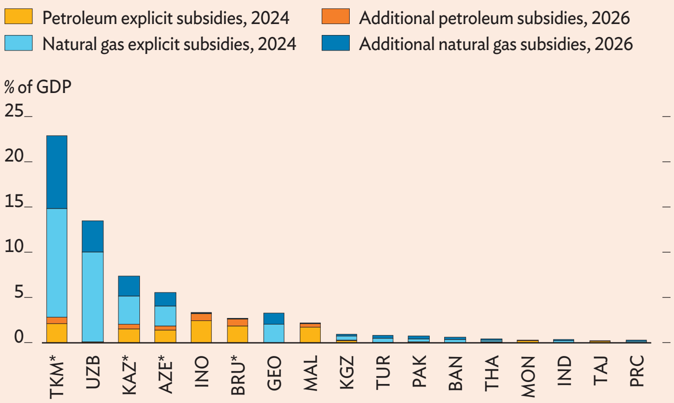
Box *Continued*

2 Explicit Petroleum and Natural Gas Subsidies in 2024 and Estimates for 2026

Higher energy prices could sharply increase subsidy costs in the most exposed economies.



* = net exporter of petroleum in 2024, AZE = Azerbaijan, BAN = Bangladesh, BRU = Brunei Darussalam, GDP = gross domestic product, GEO = Georgia, IND = India, INO = Indonesia, KAZ = Kazakhstan, KGZ = Kyrgyz Republic, MAL = Malaysia, MON = Mongolia, PAK = Pakistan, PRC = People's Republic of China, TAJ = Tajikistan, THA = Thailand, TKM = Turkmenistan, TUR = Türkiye, UZB = Uzbekistan.

Notes: For each economy, simulated additional petroleum and natural gas subsidies are computed by dividing the dollar value of total explicit subsidies in 2024 for petroleum and natural gas with average prices in 2024, and then multiplying the resulting figures by the *Asian Development Outlook July 2026* oil price forecasts for 2026. Total explicit subsidies in 2024 are then compared with the simulated values of subsidies in 2026, all expressed as shares of nominal GDP.

Sources: Asian Development Bank computations using data from IMF. 2025. *Underpriced and Overused: Fossil Fuel Subsidies Data 2025 Update*. International Monetary Fund; World Economic Outlook April 2026 database; *Asian Development Outlook July 2026*; and EnerData.

Reference

Abiad, A. et al. 2026. The Impact of the Middle East Conflict on Asia and The Pacific: An Updated Analysis. *ADB Brief* No. 388.

[a] Figures refer to explicit subsidies—the direct fiscal cost of pricing fuels below their supply cost. They exclude implicit subsidies, which reflect the underpricing of external costs, such as local air pollution and climate damage. Implicit subsidies are typically much larger but, unlike explicit subsidies, are not direct budgetary outlays.

This box was written by Suzette Dagli and Henry Ma.

Box 5 Baseline Assumptions and Developments in Advanced Asia and the Pacific

The United States economy accelerated at the start of 2026, driven by strong investment and government spending despite weaker external demand and rising inflation. Real gross domestic product (GDP) growth rose from 0.5% annualized in the fourth quarter (Q4) of 2025 to 2.1% in Q1 2026. Growth was led by private nonresidential fixed investment supported by continued expansion in technology-intensive sectors. Government spending rebounded following the previous quarter's federal government shutdown. Personal consumption growth moderated but remained an important driver. Offsetting part of the gain, net exports weighed on growth, reflecting stronger import growth than exports. Inflation intensified with higher energy prices and a modest pickup in core inflation. Labor market conditions remained stable, and the Federal Reserve (Fed) left policy rates unchanged.

The GDP growth forecast is revised down to 2.1% for 2026 and maintained at 2.0% for 2027, while the inflation forecast is raised to 3.4% for 2026 and kept at 2.4% for 2027 (box figure 1)**.** Investment is projected to remain robust, driven by demand related to artificial intelligence (AI); however, higher inflation and tighter monetary conditions are expected to dampen consumer confidence and consumption growth. As inflationary pressures from the energy price shock have broadened, the Fed is expected to delay monetary easing until mid-2027. Renewed uncertainty over import tariffs is expected to widen the trade deficit in the near term through import front-loading, while weaker external demand will keep export growth subdued. Persistently elevated geopolitical tensions and trade policy uncertainty, alongside moderating domestic demand, are expected to ease economic activity slightly in 2027.

Risks to the outlook tilt slightly to the downside. On the geopolitical front, the framework agreement announced on 14 June may ease immediate tensions, reduce risks of supply disruptions, and support near-term growth. However, uncertainty surrounding the agreement's durability and implementation persists, and any setbacks could quickly revive inflationary pressures and weigh on growth. Domestically, if inflation proves to be more persistent than anticipated, the Fed may need to tighten monetary policy. Investment prospects also remain vulnerable. The AI-driven investment boom may prove short-lived and trigger a revaluation of technology stocks, while higher interest rates may prompt businesses to postpone investment. In addition, an unexpectedly sharp global slowdown under higher inflation and more restrictive monetary policy would weigh on external demand and growth.

The euro area reversed 0.7% annualized growth in Q4 2025 to contract by 0.9% in Q1 2026 as energy prices increased and external demand weakened. Higher energy prices weighed on household incomes and private consumption, raised production costs, and dampened investment and exports. The downturn reflected a sharp decline in Ireland as front-loaded multinational activity reversed. Growth slowed in Italy and Spain as soaring energy prices dented industrial output, while France's economy stalled as weak exports compounded already subdued domestic activity. In contrast, growth in Germany accelerated from 1.0% annualized in Q4 2025 to 1.4% in line with higher defense and infrastructure spending and recovering exports. Euro area inflation rose to 3.2% in May as energy inflation surged to 10.9%. At its highest since September 2023, inflation exceeded the European Central Bank target of 2%.

The euro area growth forecast is lowered to 0.8% for 2026 and remains at 1.2% for 2027, while the inflation forecast is raised to 2.8% for 2026 and maintained at 2.3% for 2027. Growth this year is weaker than anticipated, reflecting prolonged energy supply disruptions linked to the Middle East conflict. The composite purchasing managers' index (PMI) fell to 48.5 in May, its lowest since November 2024, as conditions deteriorated in services amid subdued demand, rising energy costs, and job cuts. Economic activity is projected to increase in 2027 as global energy flows gradually improve and energy prices ease. The European Central Bank raised its main policy rate to 2.25% in June and signaled that further monetary policy tightening may be warranted if inflation persists. Inflation is projected to ease next year as energy markets normalize further.

1 Baseline Assumptions on the International Economy

Growth forecasts for the US and the euro area are lowered for 2026, while inflation forecasts are raised.

	2025	2026		2027	
		April	July	April	July
GDP growth, %					
United States	2.1	2.3	2.1	2.0	2.0
Euro area	1.4	1.1	0.8	1.2	1.2
Inflation, %					
United States	2.6	2.7	3.4	2.4	2.4
Euro area	2.1	2.6	2.8	2.3	2.3
Brent crude spot prices, average, $/barrel	69	72	87	63	77

GDP = gross domestic product.

Sources: Bloomberg; CEIC Data Company; Haver Analytics; Asian Development Bank estimates.

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Box *Continued*

Prolonged conflict in the Middle East remains the largest risk to the euro area's outlook. Disruptions more severe and persistent than currently assumed could amplify supply chain friction and keep energy prices elevated for longer, weighing on consumption, investment, and overall economic activity. If inflation proves persistent, tighter monetary policy could raise sovereign borrowing costs and exacerbate debt sustainability concerns in some economies.

Brent crude oil prices retreated from their early-April peak of about $144/barrel to an average of about $90 in the first 3 weeks of June. The decline reflected increased sourcing from alternative crude suppliers, weaker demand, expectations that transit through the Strait of Hormuz would continue despite ongoing disruption, and a framework agreement announced on 14 June. Tanker movement data indicate that crude oil and liquefied natural gas cargoes are still reaching Asian destinations—crucially the People's Republic of China (PRC), India, Japan, and the Republic of Korea—albeit at significantly lower volumes than before the conflict. Prices were further moderated by ample global inventories, continued supply from producers outside the Middle East, expectations of additional output from the Organization of the Energy Exporting Countries and its partners (OPEC+), and growing optimism that ongoing negotiations could bring a more durable settlement. Recent talks in Switzerland reportedly produced encouraging progress toward a final agreement, including measures to facilitate safe commercial navigation through the Strait of Hormuz and a roadmap for continued negotiations over the coming weeks. Despite the recent decline, Brent crude remained well above pre-conflict prices, averaging $92.66/barrel from 1 January to 23 June.

Brent crude price forecasts are revised upward to $87/barrel in 2026 and $77/barrel in 2027, reflecting persistent market disruption and geopolitical risk. The International Energy Agency reported in May that global inventories—including oil on water—fell by 250 million barrels over March–April, or about 4 million barrels per day. This significantly reduced the buffer that initially cushioned the shock. The baseline scenario assumes only partial normalization rather than a return to pre-conflict market conditions. Despite a framework agreement, normalization of transit through the Strait of Hormuz and broader commodity supply chains is likely to be gradual, as mine clearance, insurance constraints, security concerns, shipping backlogs, and damage to production facilities take months to resolve. Oil flows are expected to improve gradually in the second half of the year as tanker traffic recovers, alternative supplies expand with higher output from outside of the Middle East, and demand weakens. Nevertheless, geopolitical risk premia are likely to recede only gradually, and the International Energy Agency expects the oil market to remain in deficit in 2026. Oil prices are therefore forecast to stay above pre-conflict levels through 2027.

Risks still tilt toward higher-than-anticipated oil prices. Energy flows, shipping conditions, and inventory adequacy remain uncertain, and renewed disruption to energy flows, transport routes, or critical infrastructure could prolong market tightness, delay inventory rebuilding, and sustain elevated risk premia. Slow recovery in tanker transits through the Strait of Hormuz or renewed escalation of the conflict could keep oil prices above the baseline for longer than forecast.

Advanced Asia and the Pacific

Australia's growth forecast is maintained at 2.0% for 2026 but revised down to 1.7% for 2027 (box figure 2)**.** The economy slowed sharply from 3.5% annualized growth in Q4 2025 to 1.1% in Q1 2026 as external demand weakened. The Middle East conflict weighed heavily on trade, with exports falling by 4.2% and subtracting 1.1 percentage points from growth. Household consumption provided some support, rising by 2.1% as essential spending increased, led by electricity, gas, and other fuels. Private investment was a key driver, growing by 15.3%, notably in infrastructure and technology projects. However, leading indicators suggest subdued activity as the composite PMI contracted in May for the second time this year, to 48.7. Growth is expected to remain moderate this year with continued private consumption and investment in data centers and AI infrastructure. However, growth is anticipated to slow next year as global demand weakens and supply disruption persists. Inflation slowed from 4.6% year on year in March to 4.2% in April and further to 4.0% in May as energy prices eased following reductions in fuel excise taxes, but it remains above the Reserve Bank of Australia target of 2%–3%. In May, the bank raised interest rates by 25 basis points for a third time this year, to 4.35%, prompted by persistent underlying price pressures. The inflation forecast is revised down to 4.3% for 2026—still high as rate hikes pass through but mitigated as energy market conditions adjust. The forecast remains unchanged at 2.6% for 2027.

The Hong Kong, China growth forecast is upgraded to 3.0% for 2026 but downgraded to 2.5% for 2027. The upward revision is largely due to exports remaining strong and domestic demand picking up. Output grew by 5.9% in Q1, a 5-year high. Private consumption rose by 4.9%, twice its pace in 2025, as consumer confidence improved and residential property prices continued to stabilize. Fixed investment

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Box *Continued*

2 GDP Growth and Inflation, Advanced Asia and the Pacific

Growth forecasts for advanced Asia and the Pacific are raised for 2026 on strong AI-driven demand before moderating in 2027, while inflation forecasts are maintained for 2026 but revised upward for 2027.

	GDP Growth					Inflation				
	2025	2026		2027		2025	2026		2027	
Subregion/Economy		April	July	April	July		April	July	April	July
Advanced Asia and the Pacific	**2.5**	**2.2**	**2.6**	**1.8**	**1.7**	**2.5**	**2.6**	**2.6**	**1.9**	**2.1**
Australia	2.0	2.0	2.0	2.9	1.7	2.9	5.1	4.3	2.6	2.6
Hong Kong, China	3.6	2.6	3.0	3.0	2.5	1.4	1.7	2.0	1.5	1.8
Japan	1.2	0.7	0.7	0.6	0.8	3.2	2.4	2.1	1.8	2.1
Republic of Korea	1.1	1.9	2.6	1.9	2.0	2.1	2.3	2.7	2.0	2.2
New Zealand	0.2	1.9	1.6	2.8	2.5	2.8	3.8	3.8	1.6	2.5
Singapore	5.0	3.0	3.2	2.3	2.4	0.9	1.6	2.2	1.7	1.9
Taipei,China	8.8	7.6	9.5	4.0	4.0	1.7	1.8	2.0	1.5	1.8

AI = artificial intelligence, GDP = gross domestic product.

Note: Average rates are weighed by GDP purchasing power parity.

Source: *Asian Development Outlook* database.

increased by 17.7% with an especially large increase by 36% in private spending on machinery and equipment related to AI-driven exports, and by 39% in public construction related to the Northern Metropolis growth pole. The global AI boom lifted goods exports by 23.7%. These growth drivers are expected to continue through 2026 but moderate in 2027. Inflation is projected at 2.0% in 2026, up from an April forecast of 1.7%, due to persistent supply-side shocks, before easing to 1.8% in 2027. Downside risks include impacts from the Middle East conflict, US trade policy shocks, a slowdown in the AI boom, and financial market shocks. Upside risks mainly relate to the economy's key role as a super-connector to the PRC for flows of goods, finance, and people.

Japan's growth forecast is maintained at 0.7% for 2026 and revised up to 0.8% for 2027. Real GDP in Q1 2026 rose by 1.8% on an annualized basis, or 0.5% quarter on quarter, revised down from a preliminary estimate of 2.1% annualized due to weaker business investment. Private consumption remained resilient, rising by 0.3% quarter on quarter, while exports strengthened on robust global demand for chip-related products. Growth is expected to remain constrained by persistent effects from the Middle East conflict, though domestic consumption will be supported by real wage growth, temporary energy subsidies, and tax reform. The upward revision to the 2027 growth forecast reflects anticipated improvement in the terms of trade as energy prices normalize and stronger corporate profitability supports business investment. Prices edged up in May as core inflation, excluding fresh food, remained flat at 1.4% year on year, largely reflecting temporary government energy subsidies and social welfare programs. The Bank of Japan raised its policy rate to 1.0% in June, its highest since 1995, given persistent inflationary pressures amplified by the energy shock. The inflation forecast is revised down to 2.1% for 2026 as fuel subsidies curtail inflationary pressures but is raised to 2.1% for 2027 as conditions normalize. Downside risks to the outlook include prolonged geopolitical tensions, tighter-than-expected global financial conditions, persistent yen weakness, and disappointing real wage growth.

The Republic of Korea's growth forecasts are revised up from 1.9% for both years in the April forecast to 2.6% for 2026 and 2.0% for 2027. The revision reflects stronger-than-expected growth in Q1 and government support measures to cushion the impact of the Middle East conflict. While growth momentum is expected to ease in subsequent quarters as higher energy prices weigh on demand and production through rising costs and supply chain disruption, robust semiconductor activity will continue to support growth. Exports are expected to remain the main driver of growth in 2026 and 2027, underpinned by strong global demand for AI, while consumption should remain resilient, fueled by equity market gains, strong IT earnings, and government support measures. The inflation forecast is revised up to 2.7% in 2026 as elevated energy prices pass through to a broader range of consumer prices, then moderating to 2.2% in 2027. Downside risks to the growth outlook include prolonged energy supply disruptions, renewed US tariffs, potential equity market corrections, and a downturn in the semiconductor cycle.

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Box *Continued*

GDP growth forecasts for New Zealand are revised down to 1.6% for 2026 and 2.5% for 2027. The economy rebounded from 1.8% annualized growth in Q4 2025 to 3.2% in Q1 2026 on strong manufacturing and services and revived exports. However, private consumption was constrained by cost-of-living pressures, while private investment remained subdued by tighter financing conditions. PMI data indicate renewed weakness in Q2 2026, with services contracting for a fourth month and manufacturing stalled as new orders decreased and production growth eased. Net migration outflow has undermined labor supply and domestic demand, while a sharp fall in tourism has weighed on services exports. Inflation remained at 3.1% in Q1 2026, above the central bank's target of 1.0%–3.0%. Persistent disruption from the Middle East conflict is expected to weigh on economic activity this year and next. The inflation forecast is unchanged for 2026 but revised up for 2027 as household consumption and business investment gradually recover and import costs rise.

Singapore growth forecasts are revised up to 3.2% for 2026 and 2.4% for 2027. GDP expanded by 6.0% year on year in Q1 2026, accelerating from 5.7% in Q4 supported by broad-based growth across sectors. Stronger investment and external trade further strengthened growth. With improving PMI readings and business sentiment, manufacturing is expected to remain resilient, though moderating private consumption continues to weigh on domestic services. Reflecting stronger-than-expected growth in Q1 and sustained demand for AI-enabled semiconductors, the 2026 growth forecast is upgraded from the April projection. The 2027 growth forecast is revised up marginally, as the semiconductor upcycle is projected to diminish somewhat next year. Core and headline inflation remained at 1.4% and 1.8%, respectively, in May as increases in food, transport, and accommodation costs were offset by softer services inflation. Inflation forecasts are revised up to 2.2% for 2026 and 1.9% for 2027, reflecting elevated global energy prices. Risks to the outlook remain tilted to the downside.

The Taipei,China growth forecast is revised up to 9.5% for 2026 but unchanged at 4.0% for 2027. Exports remain the key driver, expanding by 35.8% year on year in Q1, with tech exports surging by 76.0% on top of 81.4% growth in Q4 2025. Private consumption also supported growth, driven by wage increases and stock market gains. The upward growth revision for this year reflects the continuing global AI boom, which is expected to sustain export-led growth and boost investment in AI infrastructure and hardware throughout 2026. The growth forecast for 2027 is maintained at 4.0% as global AI demand is expected to normalize. Inflation was 2.2% in May, above the central bank's 2.0% alert level, owing to base effects from lower fuel prices a year earlier and a weather-induced vegetable shortage. The inflation forecast is revised up for 2026 and 2027, given persistent disruption from the Middle East conflict and elevated global energy prices.

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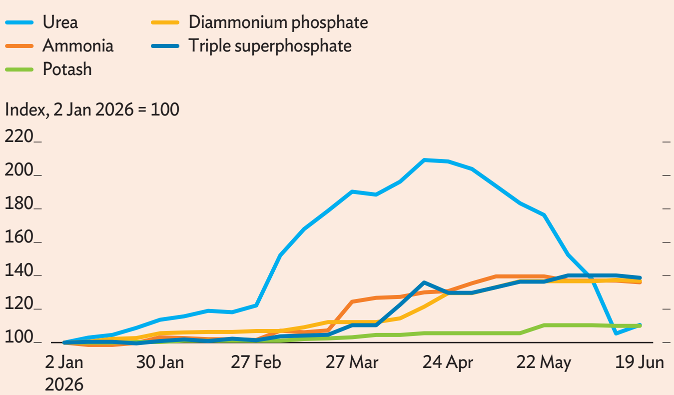
Box 6 Higher Energy and Fertilizer Costs Threaten Food Security

Energy market disruptions have driven up fertilizer costs through several channels. Modern agriculture depends heavily on fertilizers derived from fossil fuels, which have boosted productivity but also tied food production to energy markets. Since 28 February 2026, the Middle East conflict has exposed this link by curtailing flows through the Strait of Hormuz, a key corridor for global oil and liquefied natural gas trade. The resulting spike in oil and gas prices has driven substantial increases in fertilizer costs (box figure 1). The main transmission channel is direct. Natural gas is the primary feedstock for nitrogen fertilizers such as urea and ammonia, so production costs are highly sensitive to gas prices. Relative to pre-conflict prices on 27 February, urea prices rose by 71% to a peak in April, while ammonia prices increased by as much as 37% by May, before moderating. At the same time, higher oil prices feed into fuel prices, raising production, transportation, and distribution costs across agricultural supply chains. Beyond these price effects, the Strait of Hormuz carries about one-third of global seaborne fertilizer trade (UNCTAD 2026), so the conflict has also disrupted manufactured fertilizer supply. The Middle East conflict has therefore hit several parts of the food production system simultaneously, putting upward pressure on food prices and amplifying risks to food security.

1 Fertilizer Price Movements

Major fertilizer prices rose sharply in the early stages of the conflict as natural gas prices increased and trade flows were disrupted.



Notes: Triple superphosphate at US Gulf prices. Ammonia, diammonium phosphate (DAP), potash, and urea prices are simple averages across major benchmark markets: ammonia (US Tampa, Middle East, Western Europe, and US Gulf New Orleans, Louisiana (NOLA); DAP (US Gulf, People's Republic of China, and Saudi Arabia); potash (Brazil granular and India); and urea (US Gulf NOLA, Brazil, Middle East, and People's Republic of China).

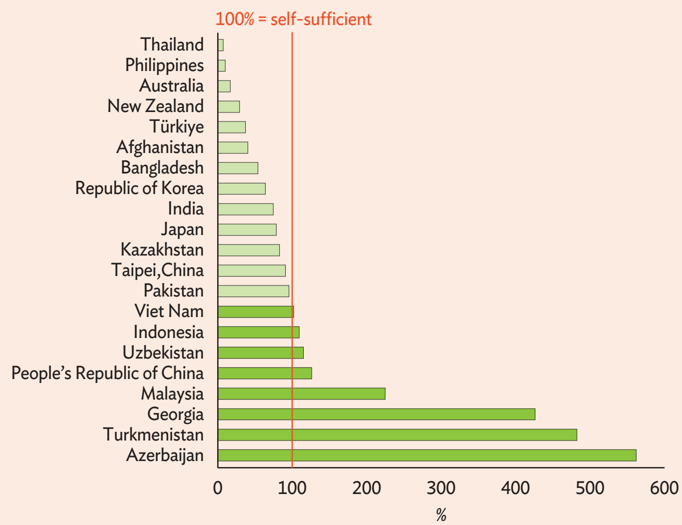
Source: Bloomberg.

In developing Asia and the Pacific, low fertilizer self-sufficiency leaves several economies vulnerable to price volatility and supply chain disruptions. Several major crop-producing economies in the region remain dependent on fertilizer imports, including key rice producers such as India and Thailand (FAO 2023; box figure 2). South Asia is particularly exposed, sourcing 34% of its fertilizer imports from the Middle East, followed by the Caucasus and Central and West Asia at 24%, developing Southeast Asia at 17%, and developing East Asia at 13% (Abiad et al. 2026). As a result, agricultural costs in many regional economies are highly sensitive to global fertilizer price shocks.

Despite substantial increases in fertilizer prices, food prices have so far risen only moderately (box figure 3). Pass-through from fertilizer costs to food prices typically operates with a lag of 3–6 months as higher input costs affect planting decisions, crop yields, and food supply over subsequent growing seasons (Bogsman et al. 2022; IFPA 2026; Omojomolo 2026). Recent energy price shocks may therefore continue to feed into food prices in the near term. Compared with past episodes, however, supply and stock

2 Nitrogen Fertilizer Self-Sufficiency Ratio in Asia and the Pacific, 2023

Nitrogen fertilizer self-sufficiency varies widely across the region, with several major agricultural economies heavily dependent on imports.



Note: The self-sufficiency ratio = production x 100 / (production + imports – exports) (FAO 2012). A ratio of less than 100% indicates inadequacy of fertilizer production to meet domestic demand, while a ratio above 100% implies greater self-sufficiency.

Source: Asian Development Bank estimates using FAOSTAT database.

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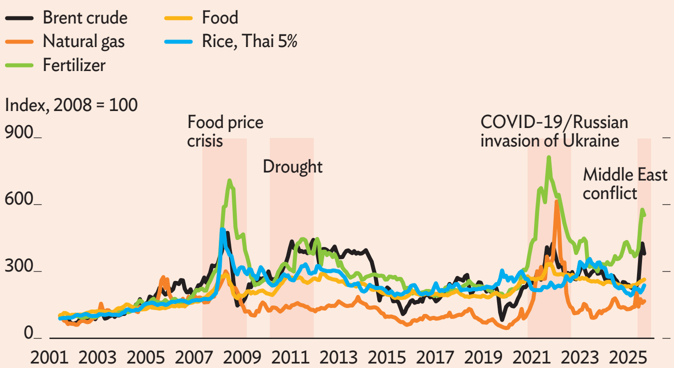
Box *Continued*

3 Commodity Prices

Energy and fertilizer costs have surged with the Middle East conflict, but food prices have so far remained relatively contained.



Notes: The Fertilizer Price Index is a nominal trade-weighted index of five major fertilizer commodities: urea, phosphate rock, diammonium phosphate, triple superphosphate, and potassium chloride. The Food Price Index is a nominal trade-weighted index of major food commodities across grains, oils and meals, and other food. The Natural Gas Index is a nominal Laspeyres index of natural gas prices in Europe, the United States, and Japan (liquefied natural gas), weighted by 5-year average consumption volumes.

Source: World Bank Commodity Prices database.

conditions in agriculture remain relatively favorable. Strong harvests and record crop yields in 2025/2026 have left ample inventories of several major agricultural commodities, cushioning markets against disruption. Stocks are expected to decline and markets may tighten somewhat in 2026/2027 as yields normalize, but supplies are projected to remain broadly adequate (AMIS 2026; USDA 2026). Together with a weaker global economic outlook, which is likely to restrain demand going forward, this suggests an unlikely recurrence of the sharp food price spikes experienced in 2007/2008, 2010/2011, and 2021/2022 (Arita and Glauber 2026).

Risks from transport routes and El Niño warrant caution. Unlike in 2022 following the Russian invasion of Ukraine, when alternative routes existed for some gas flows, fertilizer exports from the Middle East rely heavily on maritime transport through the Strait of Hormuz. Shipping disruptions could therefore prove more persistent, with effects lingering even after transit normalizes. Separately, the US National Oceanic and Atmospheric Administration reported El Niño conditions in the Pacific Ocean in June, with a 63% probability of intensifying into a very strong event during November 2026–January 2027. Such conditions can change temperature and rainfall patterns, reduce agricultural yields, and put additional upward pressure on food prices.

Higher energy prices could induce substantial rice output losses by raising fertilizer costs. Rice, a staple food across Asia and the Pacific, is particularly exposed to fertilizer price shocks because it is among the most fertilizer-intensive crops. Higher input costs can compel farmers to reduce fertilizer application, weakening yields and lowering production. To quantify these effects, rice production impacts are simulated using the International Rice Research Institute (IRRI) Global Rice Model.[a] Because natural gas and fertilizer markets are regionally fragmented and lack a single global price, oil prices—closely correlated with energy costs—are used as a tractable proxy to estimate fertilizer price movements in this partial-equilibrium model. Three scenarios are considered, in which crude oil prices rise by 25%, 50%, and 75% above the 2025 baseline of $69/barrel.[b]

Absent policy intervention, rice production could fall sharply in 2026, especially in economies reliant on imported fertilizer. The effect is best measured against the no-shock, business-as-usual scenario, under which output was otherwise projected to grow. On that basis, the most severe scenario finds a loss of about 22 percentage points in the Philippines, where output swings from an expected 8% gain to a 14% decline relative to 2025 (box figure 4). A comparably large loss is estimated for Cambodia, from 8% growth to a 13% fall. Major exporters are also affected. Thailand loses roughly 15 percentage points, and Viet Nam 11 points, relative to business as usual. India, the world's largest rice exporter, sees production fall about 5% below its record 2025 harvest. Indonesia and Malaysia prove more resilient and experience only small losses, reflecting stronger domestic fertilizer supplies. The People's Republic of China is largely shielded by its high fertilizer self-sufficiency, though its reliance on imported natural gas for nitrogen production could pose a longer-term risk.

Production losses are projected to translate into sharp increases in farmgate rice prices, adding to food price pressures. Simulations indicate that, in the most severe scenario, farmgate prices in 2026 could rise by 21% in Thailand, nearly 20% in the Philippines, and 18% in Cambodia compared with 2025. These increases are likely to pass through to retail markets, amplified by higher fuel costs in transport and distribution, worsening food access for low-income households already under strain. Drawing down existing rice stocks could soften the blow, but only temporarily. International rice prices are also projected to rise. Model estimates suggest that Thai 5% broken rice prices could average $510–$526 per ton in 2026–2027 across the three scenarios. This would be well above the $386 per ton recorded in 2025, but still below the historical peaks reached after Russia's invasion of Ukraine.

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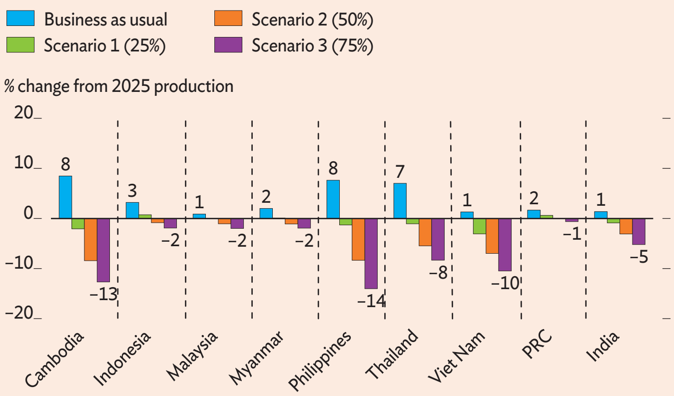
4 Rice Production Responses to Rising Fertilizer Costs in Selected Asian Economies, 2026

Higher fertilizer costs could sharply reduce rice production, reversing expected gains in several economies.



PRC = People's Republic of China.

Notes: The International Rice Research Institute Global Rice Model covers 27 economy modules and 5 regional modules linked through trade flows and price transmission equations. Oil prices are used as a proxy for fertilizer price movements, given the absence of a single global fertilizer price. Oil shocks are introduced as exogenous changes and transmitted via urea fertilizer prices, affecting input use, yields, and production. The business as usual bar assumes oil prices remain at the 2025 baseline of $69/barrel, with no fertilizer cost shock. Scenarios 1, 2, and 3 correspond respectively to crude oil price increases of 25%, 50%, and 75% above that baseline in 2026, or $86, $104, and $121/barrel.

Source: Asian Development Bank estimates.

Governments should avoid trade restrictions and strengthen food security resilience. Diversifying fertilizer supply chains and expanding domestic production capacity where feasible would reduce exposure to energy price shocks. Regional coordination of rice stocks should be strengthened, particularly for economies with low reserves. Export restrictions should be avoided, as they amplify global price pressures and deepen food insecurity in import-dependent economies. Targeted safety nets for vulnerable households should be designed in advance and made ready for rapid rollout, as sharp food price increases disproportionately affect low-income communities across Asia and the Pacific.

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[a] The IRRI Global Rice Model is a structural, partial-equilibrium economic model of the global rice market, developed to represent rice production, consumption, trade, and prices and their linkages to related agricultural and non-agricultural markets. It is used for medium-term market outlook and policy analysis, including assessments of price volatility and food security.

[b] These scenarios are intended to illustrate the sensitivity of rice production to fertilizer-cost increases and do not correspond to the oil-price paths assumed elsewhere in this report. The baseline assumes crude oil prices remain at the 2025 level of $69/barrel.

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